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Equity Strategy

Q3 Preview: Earnings delivery to reassure

- Q3 reporting season is about to start. Given the increased volatility in the past weeks on a number of fronts, a lot is at stake. We find that investors in general have a constructive view on earnings, but are concerned that actual results might underwhelm. **We believe that earnings will be a support for the market**.
- **Consensus expectations might appear elevated at face value, but we do not believe that to be the case**. For S&P500, consensus Q3 EPS growth projection is at 24% according to IBES. Factset & Thompson Reuters are at 30%, but that is due to Meta's one-off tax charge adjustment. Ex-Nvidia and Micron, the hurdle rate falls to 15%, from 24%. If we look at median S&P500 stock, the yoy Q3 EPS growth forecast by consensus drops further, to 8%.
- European consensus EPS growth projection stands at 19%. Ex Energy, this comes down to 11%, and median is at 9%. Looking at revenue growth, the median for SXXP is at 7% for Q3, with S&P500 also at 7%.
- Importantly, **global PMIs have accelerated during the quarter to multi-year highs, and are projecting a strong EPS delivery** - top chart. Our **lead indicator of earnings is staying on an uptrend**, not showing an inflection yet - middle chart. It typically has a 2 quarters lead-lag, suggesting the next 2 reporting seasons at least should be positive.
- AI continues to do the heavy lifting for the US. At the same time, **earnings strength is broadening**. The proportion of global equity market constituents that are showing accelerating earnings has climbed to near record highs. This should improve the odds of the upcycle being more sustainable. For Europe, margin expansion is doing the heavy lifting. **This year European EBIT/Sales are projected to be at 14.4%**, 250bp higher than pre-Covid, in 2019. All the sectors are stepping up, apart from Staples, Autos and Software.
- **Weakening Euro will turn into a support for Exporters**. **Energy** is likely to surprise on the upside, but **Miners** pose a risk, and broader China exposure could stay soft, as well as consumer exposure, with companies likely to highlight the headwind of rising energy costs. **Semis** are poised to deliver strong results, along with **Industrials**. **Banks** have derated 10%+ in the past weeks, but are on track to see reassuring earnings. If the reporting season coincides with a peaking in bond yields risk, together with stabilisation in credit spreads, then Banks should be set to recover. **Utilities** results are also likely to be positive.
- French exposure remains hostage to bond yields direction. Having said that, **French plays have derated 15%+, in contrast to earnings which show resiliency**, given that activity indicators such as PMIs held up so far, and CAC40 topline is 75% non-French - bottom chart.
- Overall, we have been arguing that **when the Q3 results season starts**, the **market focus will shift onto still supportive fundamentals**, and move on from September's volatility. Also, in our October Chartbook, out last week, **we suggested that bond yields spike is approaching oversold territory**. These two developments, if they gain traction, would allow equities to advance into year end, with likely risk-on internals. We have advised to re-enter Tech sector at end July, and are in particular positive on European Semis, in addition to likely upside in Banks, Chemicals, and Industrials.

Equity Strategy

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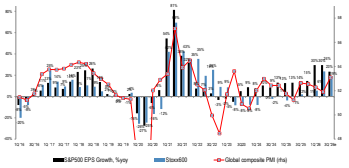
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The acceleration in global PMIs during Q3 to multi-year highs is calling for strong, double digit, EPS growth...



...our lead indicator of earnings, which tends to lead by 1-2 quarters, is not inflecting yet...



...while CAC40 fortunes will be driven by yields moves, we note a gap opening up between earnings and stocks price relative, which did not tend to last



Source: IBES, Bloomberg Finance L.P., Datastream

See page 31 for analyst certification and important disclosures, including non-US analyst disclosures.

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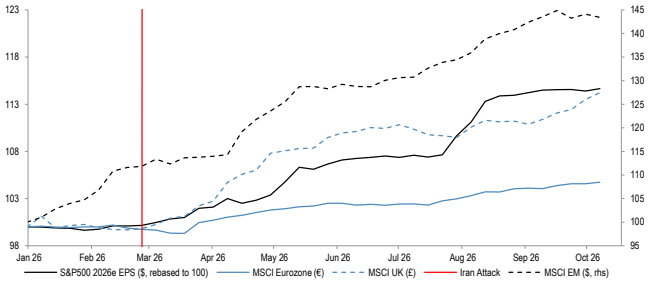
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Q3 Preview: Earnings delivery to reassure

The market is likely to focus on earnings, Q3 reporting season is upon us...

Figure 1: Key regions - 2026e EPS change ytd



Source: IBES

Given the increased volatility in the past few weeks, with the bond market sell-off and focus on escalating US-Iran tensions among others, reassuring earnings delivery has become crucial for the equity trade.

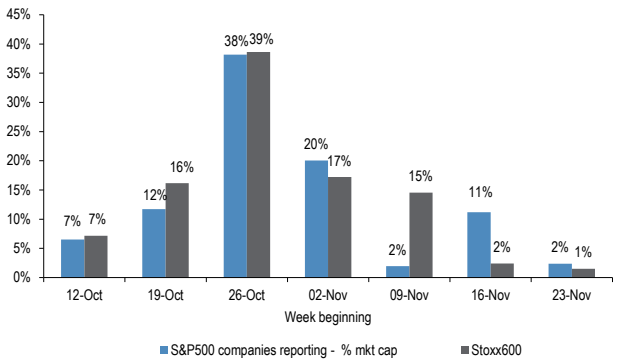
Table 1: Key regions - 2026e and 2027e EPS growth

	2026e EPS Growth, %		2027e EPS Growth, %	
	Current	Jan '26	Current	Jan '26
S&P 500	34.2%	15.6%	17.2%	15.2%
Stoxx 600	17.4%	11.6%	9.7%	11.7%
Euro Stoxx	17.4%	14.2%	12.3%	12.4%
MSCI Eurozone	23.1%	14.9%	12.4%	12.9%
FTSE 100	21.4%	10.6%	6.2%	11.2%
Topix*	20.8%	11.1%	11.0%	9.8%
EM	74.4%	18.2%	23.7%	13.7%

Source: IBES, Topx refers to FY ending Mar '27 and Mar '28

Earnings for 2026 are expected to be robust, and have been upgraded through the year for all regions.

Figure 2: Q3 '26 Earnings Season Calendar

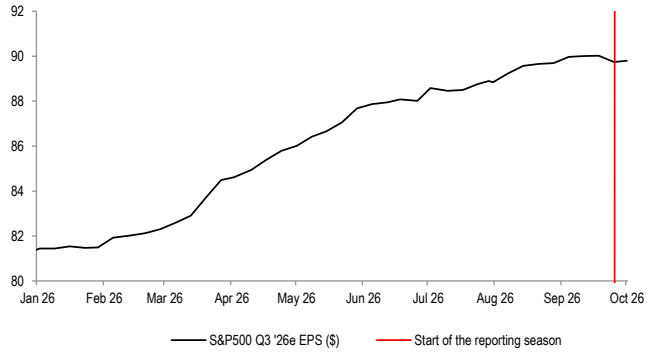


Source: Bloomberg Finance L.P.

We are entering the Q3 earnings season, with US and European companies set to report their results starting next week.

...consensus expectations appear elevated at face value, but are more reasonable beneath the surface...

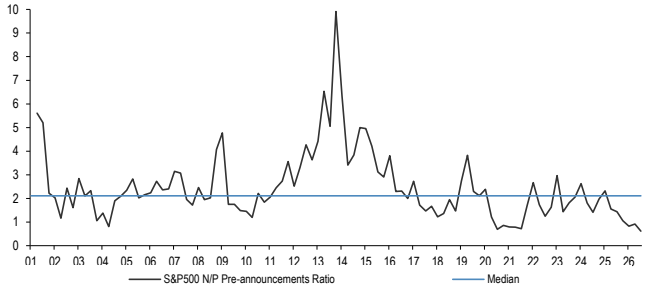
Figure 3: S&P500 Q3 '26e EPS



Source: Thomson Reuters

S&P500 Q3 EPS projections have been steadily rising this year.

Figure 4: S&P500 N/P pre-announcements ratio



Source: Thomson Reuters

Encouragingly, the number of companies issuing positive EPS guidance for Q3 is at highs, and the ratio of negative-to-positive pre-announcements are near the lows.

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Table 2: Q3 '26e EPS Growth

	Q3 '26e EPS growth, %y/y			
	US	Europe	Eurozone	Japan
Energy	113%	114%	90%	24%
Materials	27%	36%	35%	18%
Industrials	13%	23%	16%	24%
Discretionary	3%	8%	8%	26%
Staples	3%	3%	-2%	9%
Health Care	4%	4%	-3%	17%
Financials	2%	9%	9%	-2%
IT	65%	6%	26%	16%
Com. Services	1%	14%	12%	-17%
Utilities	9%	6%	3%	-40%
Real Estate	7%	12%	23%	22%
Market	**24%**	**19%**	**17%**	**9%**
Market Ex-Financials	**29%**	**27%**	**23%**	**13%**
Market Ex-Energy	**20%**	**11%**	**10%**	**9%**
Market ex Tech and ex Energy	**5%**	**11%**	**9%**	**8%**
Cyclicals	**42%**	**18%**	**17%**	**22%**
Defensives	**3%**	**6%**	**2%**	**-7%**

Source: Datastream, J.P.Morgan

Q3 '26 EPS is expected to be up 24% y/y in the US. This adjusts for Meta's Q3 '25 EPS, which was heavily impacted by a one-time, non-cash income tax charge, and therefore differs from the +30% S&P500 projection from other providers like Factset. European Q3 '26 EPS growth estimate stands at +19% y/y, and +11% y/y excluding Energy.

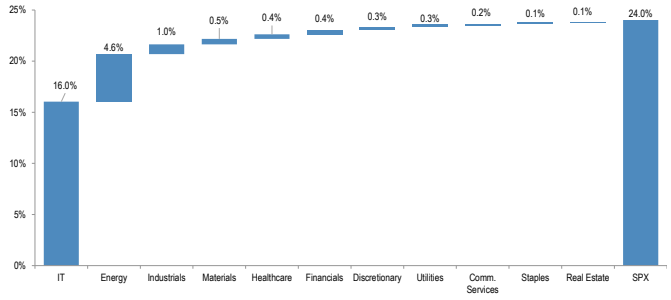
Table 3: 3Q '26e median EPS growth

	Q3 '26e Median EPS growth, %y/y			
	US	Europe	Eurozone	Japan
Energy	44%	84%	50%	9%
Materials	6%	4%	4%	4%
Industrials	10%	12%	6%	11%
Discretionary	4%	6%	7%	5%
Staples	5%	-1%	-2%	1%
Health Care	5%	1%	-1%	6%
Financials	6%	8%	10%	15%
IT	31%	18%	27%	15%
Com. Services	7%	2%	1%	-11%
Utilities	8%	3%	3%	-37%
Real Estate	5%	6%	9%	21%
Market	**8%**	**9%**	**8%**	**7%**
Cyclicals	**10%**	**11%**	**7%**	**10%**
Defensives	**6%**	**1%**	**1%**	**-1%**

Source: Datastream, J.P. Morgan

While the hurdle rate appears elevated at face value, we note that median projections are much more reasonable, at +8% -9% y/y in the US and in Europe.

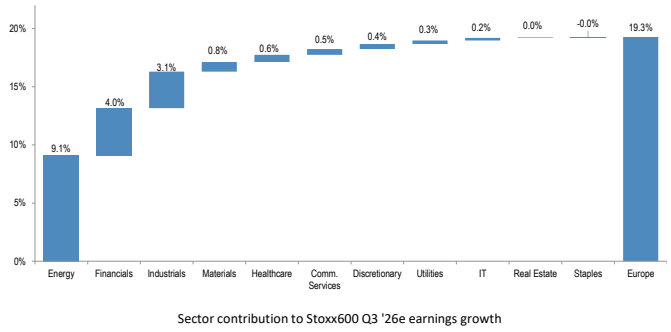
Figure 5: Sector contribution to S&P500 Q3 '26e earnings growth



Source: Datastream, J.P.Morgan

In the US, the bulk of the earnings growth is from the Tech sector. In fact, excluding Nvidia and Micron, EPS growth projections for the quarter come down to +15% y/y.

Figure 6: Sectors contribution to Stoxx600 Q3 '26e earnings growth



Source: Datastream, J.P. Morgan

In Europe, the Energy sector is the biggest driver of earnings this quarter, reflecting a combination of stronger refining-led profitability and a favourable price backdrop that is lifting sector EPS disproportionately versus the rest of the index.

… revenue growth is also expected to be healthy

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Table 4: Q3 '26e Sales growth

	Q3 '26e Sales growth, %y/y			
	US	Europe	Eurozone	Japan
Energy	16%	45%	53%	8%
Materials	8%	9%	8%	12%
Industrials	9%	7%	8%	9%
Discretionary	5%	-1%	-1%	8%
Staples	6%	6%	6%	8%
Health Care	4%	6%	6%	7%
Financials	5%	6%	5%	-7%
IT	41%	10%	14%	10%
Com. Services	16%	5%	6%	5%
Utilities	9%	8%	7%	5%
Real Estate	10%	0%	2%	14%
Market	**12%**	**10%**	**10%**	**7%**
Market Ex-Financials	**13%**	**11%**	**11%**	**9%**
Market Ex-Energy	**11%**	**5%**	**5%**	**7%**
Cyclicals	**18%**	**4%**	**4%**	**9%**
Defensives	**7%**	**6%**	**6%**	**6%**

Source: Datastream, J.P.Morgan

Revenue growth for Q3 '26 is estimated to be +10-12% y/y in the US and Europe. Ex-Energy, though, European sales growth is lower, at +5% y/y.

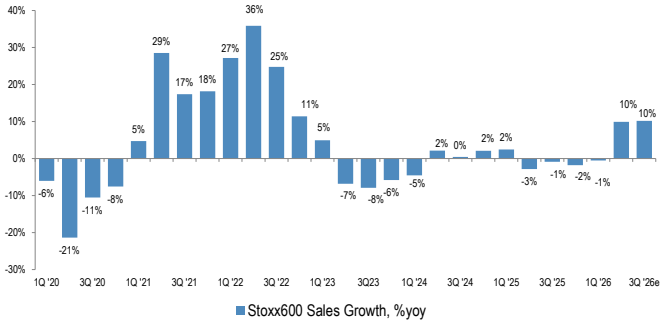
Table 5: Q3 '26e Median Sales growth

	Q3'26e Median Sales growth, %y/y			
	US	Europe	Eurozone	Japan
Energy	12%	26%	18%	6%
Materials	6%	6%	4%	11%
Industrials	9%	8%	9%	9%
Discretionary	5%	2%	0%	6%
Staples	4%	5%	5%	5%
Health Care	4%	7%	6%	7%
Financials	8%	7%	7%	0%
IT	20%	18%	26%	11%
Com. Services	12%	0%	1%	6%
Utilities	6%	6%	6%	10%
Real Estate	5%	1%	1%	17%
Market	**7%**	**7%**	**7%**	**7%**
Cyclicals	**9%**	**7%**	**7%**	**9%**
Defensives	**5%**	**5%**	**5%**	**6%**

Source: Datastream, J.P.Morgan

At a median level, European and US sales growth are projected to be +7%.

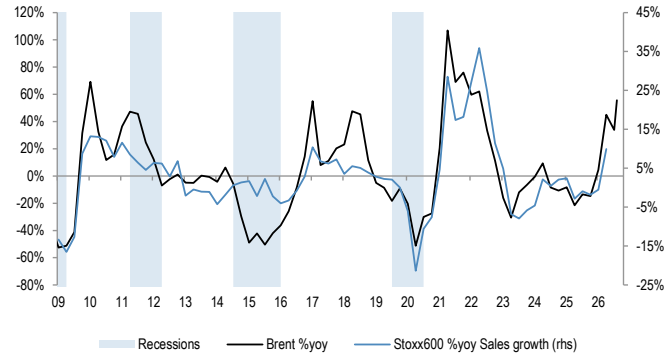
Figure 7: Stoxx600 Sales growth



Source: Bloomberg Finance L.P., Datastream , J.P.Morgan

Topline growth has improved considerably this year, after several quarters of declining revenue in Europe.

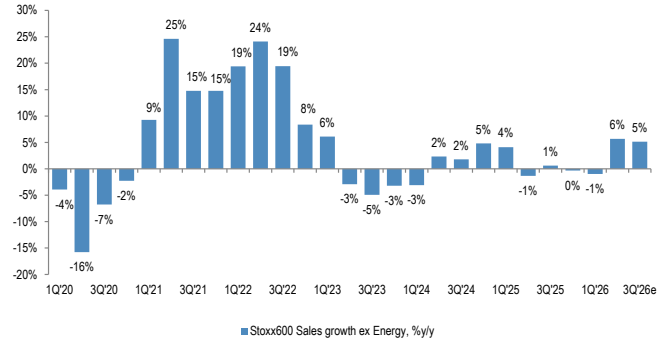
Figure 8: Brent vs Stoxx 600 sales growth



Source: J.P. Morgan., Bloomberg Finance L.P.

Although oil spikes can increase market volatility and intensify cost pressures for certain sectors, historically higher Brent prices have tended to coincide with stronger aggregate European sales growth

Figure 9: Stoxx600 Sales growth ex energy



Source: Bloomberg Finance L.P., Datastream, J.P. Morgan

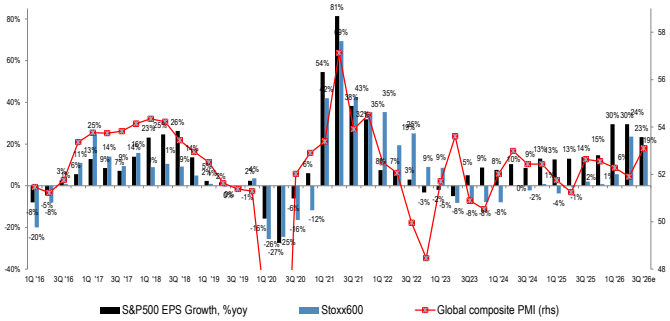
Even excluding energy, topline growth appears to be healthy.

Strong activity momentum is a key support to earnings

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Figure 10: US and European EPS Growth and Composite PMI



Source: Bloomberg Finance L.P., J.P. Morgan

The acceleration in the global composite PMI over the quarter is consistent with earnings staying on an uptrend.

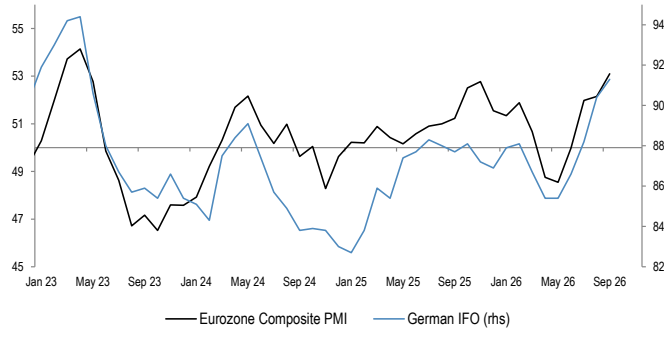
Table 6: Key global activity indicators

	1Q '25	2Q '25	3Q '25	4Q '25	1Q '26	2Q '26	3Q '26
Real GDP, % oya							
US	2.3%	2.4%	2.6%	2.0%	2.6%	2.2%	2.1%
Euro Area	1.6%	1.4%	1.2%	1.1%	0.6%	1.2%	1.2%
Japan	1.6%	1.9%	0.7%	0.5%	0.5%	0.7%	1.3%
EM	4.4%	4.4%	4.3%	4.2%	4.4%	4.1%	4.1%
IP, %oya							
US	0.0%	0.3%	1.6%	1.3%	0.8%	1.5%	1.3%
Euro Area	2.1%	1.4%	1.4%	1.9%	-1.7%	0.2%	0.9%
Japan	2.8%	0.1%	-1.2%	-1.3%	1.2%	1.9%	3.3%
PMI Composite							
US	52.6	52.2	54.5	53.8	51.7	51.7	56.3
Euro Area	50.4	50.4	51.0	52.3	51.3	49.1	52.4
Japan	50.7	51.0	51.6	51.5	53.3	52.0	52.8
EM	52.3	51.5	52.4	52.3	52.9	53.1	52.0
German IFO	84.1	86.8	88.0	87.4	87.6	85.8	90.0
CPI, %oya							
US	2.7%	2.5%	2.9%	2.7%	2.7%	3.8%	3.2%
Euro Area	2.3%	2.0%	2.1%	2.1%	2.0%	3.0%	3.3%
Japan	3.7%	3.5%	3.0%	2.6%	1.4%	1.5%	1.9%
EM	3.2%	3.1%	2.7%	2.8%	3.1%	3.5%	3.4%
Consumer Sentiment							
US	64.5	55.0	58.3	52.5	55.4	48.0	51.7
Euro Area	-12.7	-14.1	-13.7	-12.9	-13.7	-19.0	-16.0
Japan	34.2	32.7	34.2	36.4	37.0	32.8	35.1
Unemployment rate, %							
US	4.1	4.2	4.3	4.5	4.3	4.3	4.1
Euro Area	6.3	6.3	6.3	6.3	6.4	6.4	6.4
Japan	2.5	2.5	2.5	2.6	2.7	2.5	2.5

Source: J.P. Morgan., Bloomberg Finance L.P.

Many activity indicators are tracking notable improvements for Q3.

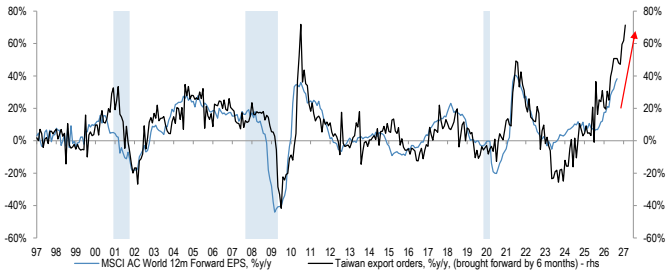
Figure 11: Eurozone Composite PMI and German IFO



Source: J.P. Morgan.

European PMIs and the IFO have moved well into expansion territory.

Figure 12: MSCI World 12m trailing EPS and Taiwan Export Orders

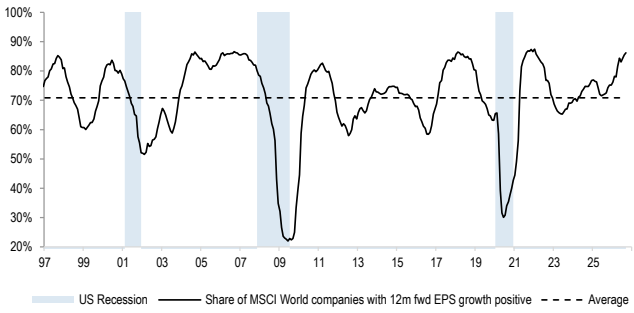


Source: IBES, J.P. Morgan

Taiwan export orders, our lead indicator of global earnings, are staying resilient, not yet showing an inflection. Given the typical lead-lag of 2 quarters, this suggests that earnings should stay healthy at least until next year.

AI is still doing the heavy-lifting in the US, but global edarnings delivery is broadening

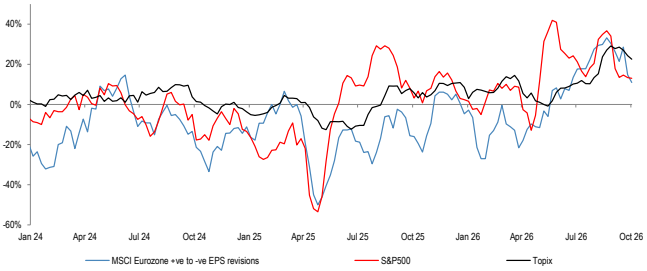
Figure 13: Share of MSCI World companies with 12m fwd EPS growth positive



Source: Datastream

The proportion of global equity market constituents that are showing accelerating earnings has climbed to near record highs. This should improve the odds of the upcycle being more sustainable, with broader participation making the cycle less vulnerable to a single-factor shocks, supporting healthier market internals.

Figure 14: EPS revisions for key regions



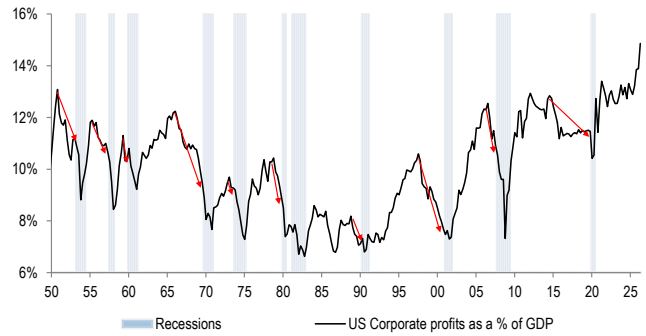
Source: IBES

EPS revisions have rolled over but are still positive.

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Margins are strong in both the US and in Europe

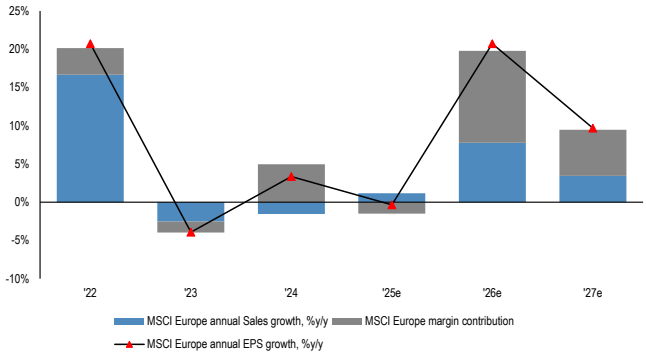
Figure 15: US corporate profits as a % of GDP



Source: BEA

Current profit margins are healthy, sitting above long-term averages, and have historically peaked well ahead of both equity market tops and economic downturns.

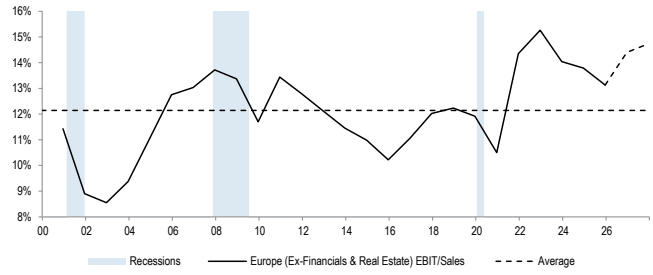
Figure 16: MSCI Europe margin contribution



Source: IBES

In Europe, margin expansion is doing the heavy lifting this year.

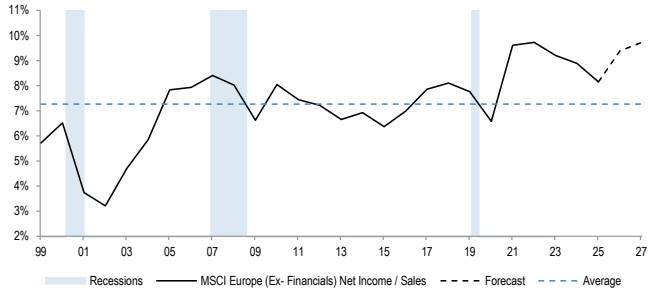
Figure 17: MSCI Europe EBIT/Sales



Source: IBES

EBIT margins are expected to improve this year, after falling for 3 consecutive years.

Figure 18: MSCI Europe Net Income /Sales



Source: IBES

Net income margins show a similar trend, suggesting Europe's earnings cycle need not be purely demand-led; if activity holds up, incremental earnings can stay resilient.

Table 7: European L2 sectors EBIT margin

	EBIT margin				
	19	25	26e	26e vs 25 Change (%)	26e vs 19 Change (%)
Europe (Ex- Financials & Real Estate)	11.9%	13.1%	14.4%	1.3%	2.5%
Energy	8.9%	14.7%	17.6%	3.0%	8.7%
Chemicals	11.1%	10.7%	11.7%	1.0%	0.6%
Construction Materials	13.5%	16.8%	17.1%	0.2%	3.6%
Metals & Mining	8.3%	9.3%	11.3%	2.1%	3.0%
Capital Goods	9.9%	11.2%	12.0%	0.8%	2.1%
Transportation	8.2%	8.5%	9.9%	1.4%	1.7%
Automobiles & Components	6.7%	2.8%	4.7%	1.9%	-1.9%
Consumer Durables & Apparel	19.9%	19.7%	20.1%	0.4%	0.2%
Media	13.5%	17.4%	17.1%	-0.3%	3.6%
Retailing	10.0%	10.9%	11.4%	0.5%	1.4%
Hotels Restaurants & Leisure	8.7%	9.5%	9.1%	-0.3%	0.4%
Food & Staples Retailing	3.5%	3.9%	3.8%	-0.1%	0.3%
Food Beverage & Tobacco	21.3%	19.3%	19.3%	0.0%	-1.9%
Household & Personal Products	17.6%	18.4%	18.3%	-0.1%	0.7%
Health Care	26.0%	26.5%	26.3%	-0.2%	0.3%
Software & Services	23.3%	20.0%	20.4%	0.4%	-2.8%
Technology Hardware & Equipment	10.8%	15.8%	14.8%	-1.0%	4.0%
Semiconductors & Semiconductor Equipment	18.4%	25.1%	30.1%	5.0%	11.7%
Telecommunication Services	13.8%	16.8%	18.4%	1.5%	4.5%
Utilities	11.3%	15.3%	16.1%	0.8%	4.8%

Source: Worldscope,J.P. Morgan.

The bulk of the margin expansion this year is coming from Tech, Energy and Capital Goods sectors. Compared to the pre-Covid levels, margins for all sectors barring Autos, Staples and Software have stepped up.

Table 8: MSCI Europe sectors Margin Contribution

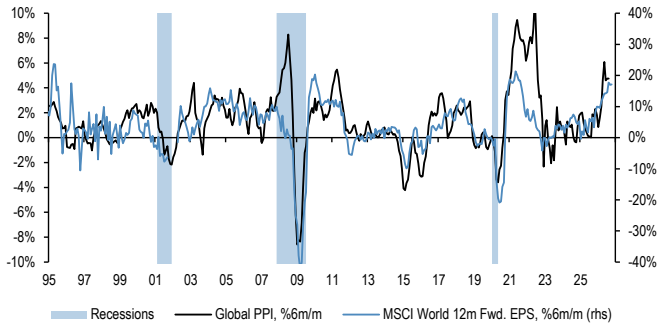
	2026e Earnings Growth	Sales Growth	Margin Contribution
Energy	88%	24%	52%
Chemicals	14%	3%	11%
Construction Materials	10%	5%	5%
Metals & Mining	60%	20%	33%
Capital Goods	16%	8%	8%
Transportation	20%	8%	11%
Automobiles & Components	-	0%	-
Consumer Durables & Apparel	11%	5%	6%
Media	5%	8%	-3%
Retailing	11%	6%	4%
Hotels Restaurants & Leisure	6%	7%	-1%
Food & Staples Retailing	9%	1%	7%
Food Beverage & Tobacco	3%	2%	1%
Household & Personal Products	2%	1%	1%
Health Care	5%	5%	1%
Software & Services	10%	13%	-2%
Technology Hardware & Equipment	-10%	-1%	-9%
Semiconductors & Semiconductor Equipment	56%	27%	22%
Telecommunication Services	11%	5%	6%
Utilities	8%	4%	4%

Source: IBES

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At a sector level, earnings for Energy, Chemicals and Mining in particular are being helped by margin expansion.

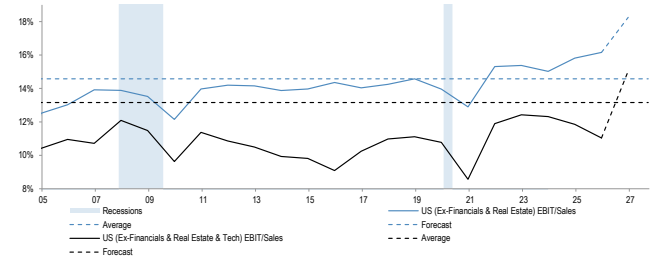
Figure 19: MSCI World 12m Fwd EPS and PPI



Source: IBES, Bloomberg Finance L.P.

Despite concerns around rising inflation and cost pressures, we note that historically, earnings have typically displayed a positive correlation to PPIs, with companies retaining pricing power.

Figure 20: US EBIT/Sales

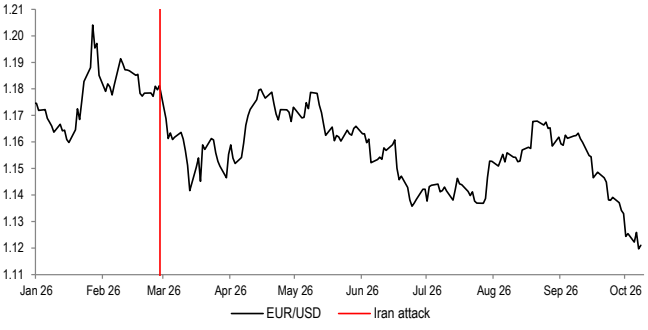


Source: IBES

In the US, EBIT margins are also expected to expand, even when adjusting for the Tech sector.

Weakening EUR/USD should help Exporters

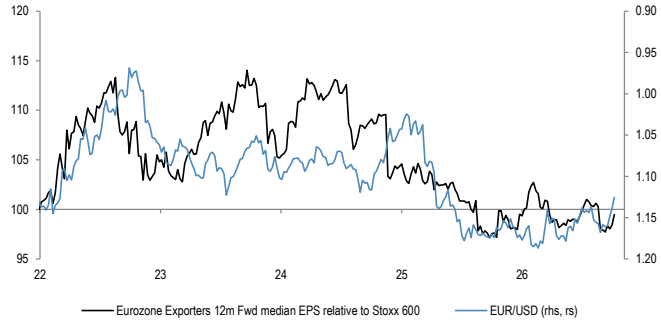
Figure 21: EUR/USD ytd



Source: Bloomberg Finance L.P.

Euro has been weakening this year, with the recent fall exacerbated by the spike in French and Italian bond spreads.

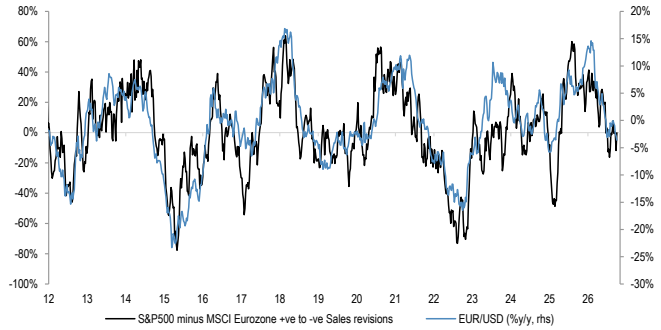
Figure 22: Eurozone Exporters 12m Fwd EPS relative and EUR/USD



Source: J.P. Morgan., Bloomberg Finance L.P.

Weaker Euro typically favours Exporters/stocks that derive a meaningful share of their revenues from abroad.

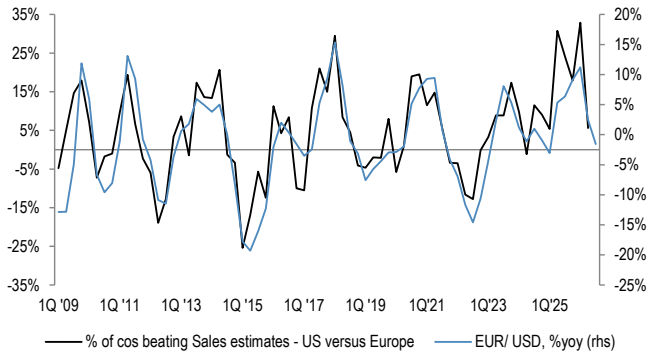
Figure 23: S&P500 minus MSCI Eurozone Weekly Sales Revisions and EUR/USD



Source: IBES, Bloomberg Finance L.P.

There is a clear positive correlation between the relative sales revisions of US vs Eurozone and the EUR/USD. A weaker EUR mechanically supports Eurozone exporters' reported revenues/earnings, and has historically coincided with better relative sales revision breadth versus the US.

Figure 24: Companies beating sales estimates in US minus Europe and EUR/USD



Source: J.P. Morgan., Bloomberg Finance L.P.

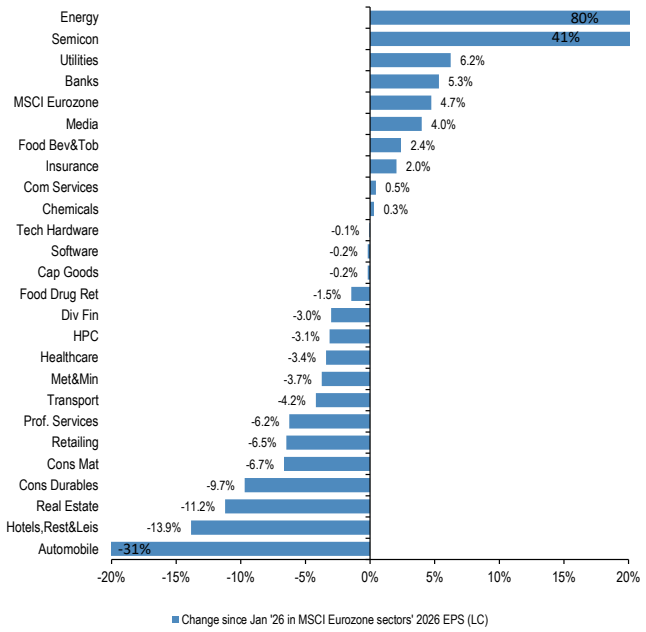
Similarly, the proportion of companies beating quarterly sales estimates in the US vs Europe is also closely tied to FX

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trends.

At a sector level, Miners pose a risk, while Semis, Banks, Industrials and Utilities could deliver reassuring results

Figure 25: MSCI Eurozone sectors 2026 EPS change ytd



Source: IBES

At a sector level, Energy, Semis, Utilities and Banks have seen the biggest earnings upgrades while Autos have seen the most downgrades this year.

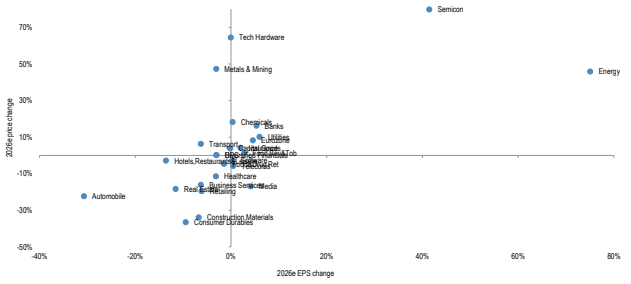
Table 9: MSCI Eurozone sectors - Price and 2026e EPS change ytd

	2026e EPS change, ytd	2026 price change, ytd
Eurozone	5%	8%
Energy	75%	46%
Chemicals	0%	18%
Construction Materials	-7%	-34%
Metals & Mining	-3%	47%
Capital Goods	0%	4%
Business Services	-6%	-16%
Transport	-6%	6%
Automobile	-31%	-22%
Consumer Durables	-9%	-37%
Media	4%	-17%
Retailing	-6%	-19%
Hotels,Restaurants&Leisure	-14%	-3%
Food&Drug Ret	-1%	-5%
Food Bev&Tob	3%	1%
HPC	-3%	0%
Healthcare	-3%	-11%
Banks	5%	16%
Diversified Financials	-3%	0%
Insurance	2%	4%
Real Estate	-12%	-18%
Software	0%	-2%
Tech Hardware	0%	65%
Semicon	41%	80%
Telecoms	0%	-6%
Utilities	6%	10%

Source: IBES, Datastream

Energy and Semis have also both rallied strongly ytd.

Figure 26: MSCI Eurozone sectors - 2026e EPS and 2026 price change

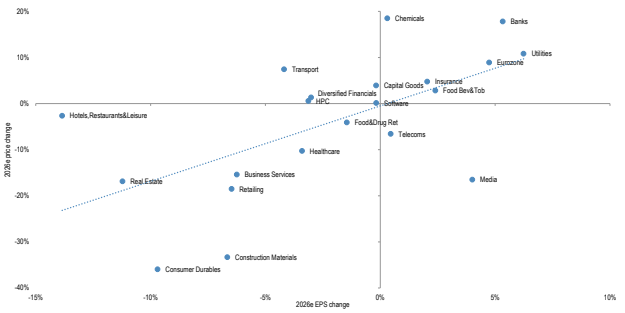


Source: IBES, Datastream

The chart above depicts the magnitude of price and earnings moves this year, a price vs fundamentals scoreboard. Autos have underperformed and seen EPS downgrades, while Energy and Semis have rallied strongly, justified by robust sector fundamentals. Notably, the Mining sector has performed well this year despite a worsening earnings outlook.

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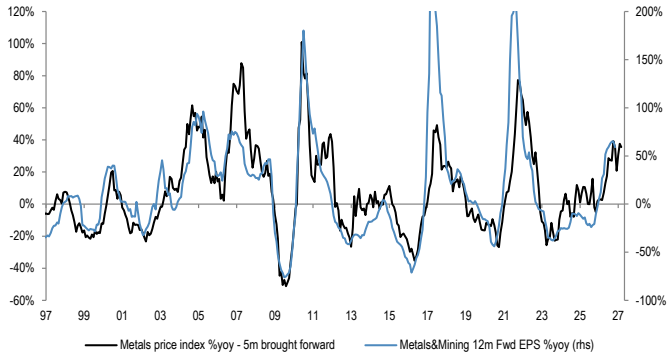
Figure 27: MSCI Eurozone sectors - 2026e EPS and 2026 price change



Source: IBES, Datastream

Removing the outliers for better clarity of the remaining sectors, we note disconnects for the Transport sector, which has rallied despite falling earnings, and on the other side Communication Services (Media & Telecoms), which had positive EPS revisions but underperformed. Banks and Utilities saw earnings rewarded, while Luxury (Consumer Durables) appear to have been penalized for earnings downgrades.

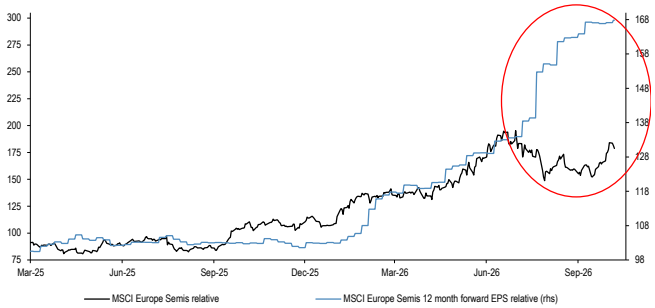
Figure 28: Metals and Mining 12m Fwd EPS and Metal prices



Source: IBES, Bloomberg Finance L.P.

We caution that Miners pose a risk, and broader China exposure could stay soft, with companies likely to highlight the headwind of rising energy costs. Our Metals & Mining team expects copper miners' earnings to be flat QoQ, as higher prices are offset by cost inflation. They see momentum turning negative for iron ore and European steel, with US copper tariffs a key watch point.

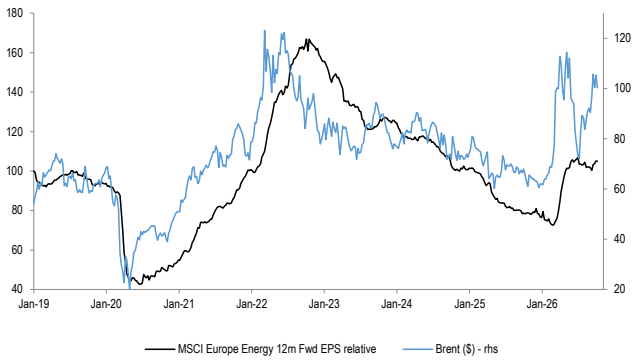
Figure 29: MSCI Europe Semis price and EPS relative



Source: Datastream

Semis, on the other hand, are likely to deliver strong results, and we note the meaningful gap that has opened up between Semis relative performance and their relative earnings. Our sector analysts expect AI data centres to continue to drive strong sales and orders, led by power and optical, with autos restocking and industrials staying firm. They believe semi-equipment companies will guide to improving momentum with high visibility into 2027, while consumer and mobile stay weak because of high DRAM prices hurting demand.

Figure 30: MSCI Europe 12m fwd EPS relative and Brent

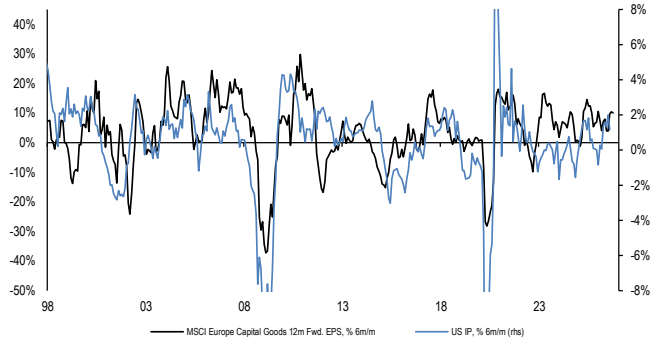


Source: Datastream, Bloomberg Finance L.P.

Our Energy team believes falling inventories are getting harder to ignore, and expects strong refining-led Q3 EPS and a ~11% 2027 FCF yield. Easing refining margins and EU policy risk are the key watch points.

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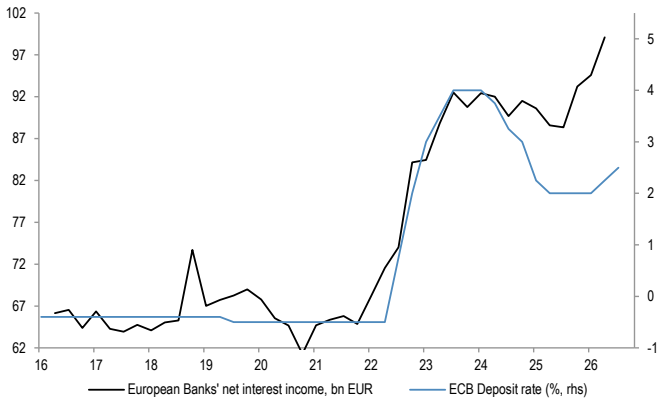
Figure 31: European Capital Goods EPS and US IP



Source: IBES, Bloomberg Finance L.P.

Our Capital Goods team sees strong end markets and well-managed price/cost, with modest upgrades are likely. They believe Europe's security agenda will support a long investment cycle.

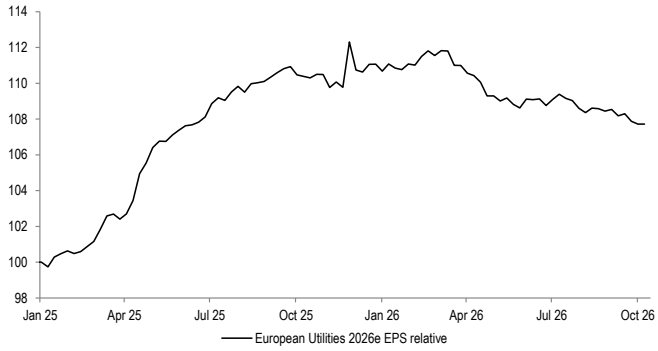
Figure 32: Banks Net interest income and ECB deposit rate



Source: J.P. Morgan.

Banks have derated 10%+ in the past weeks, but are likely to see reassuring earnings. If the reporting season coincides with peaking in bond yields risk, together with stabilisation in credit spreads, then Banks should be set to recover. Our Banks team remains constructive and expects a re-rating, with the sector at 8.7x PE and an 18.6% 2028E ROTE. They expect resilient Q3 earnings and possible NII upgrades, partly offset by softer investment banking revenues

Figure 33: European Utilities 2026e EPS relative



Source: IBES

Our Utilities team expects another strong quarter, with upside risk to FY26 guidance. Higher gas and power prices and greater volatility should help trading and uncontracted volumes.

Highlights from JPM Sector Research

Table 10: Q3 Earnings Commentary by Sector Analysts

Sector	View	Key Commentary
Energy	(+)	Falling inventories, strong refining led 3Q EPS, 10.9% 2027 FCF yield. Watch for easing refining margins and EU policy risk.
Capital Goods	(+)	Strong end markets and well-managed price/cost, with modest upgrades likely. Europe's security agenda supports a long investment cycle.
Banks	(+)	Cheap at 8.7x PE, ~30% discount to the market, with strong capital (CET1 14%+). Higher rate expectations support NII upgrades. IB revenues are seasonally softer, and bank-tax rhetoric is a risk.
Tech Hardware & Semis	(+)	AI data-centre demand is strong and semi-equipment has high visibility into 2027. Consumer and mobile are weak.
Utilities	(+)	Upside risk to FY26 guidance, especially for power generators and integrated utilities. Higher gas/power prices and volatility help uncontracted volumes, trading and spread businesses.
Metals & Mining	(-)	Copper flat QoQ, iron ore momentum turning negative. Cost inflation and tariffs are the risks.
Chemicals	(-)	Overcapacity, China/EM competition and a European margin squeeze. 2027 estimates well below consensus.
Luxury	(-)	Growth is expected to slow and soft luxury is under pressure. No catalyst despite 15-year-low valuations.
Internet	(-)	AI disintermediation weighs on online classifieds, but near-term impact on numbers is limited and Q3 should be in line. Agentic commerce/discovery is an overhang.
Retailing	(-)	Squeezed consumers, cost inflation and weak German/French macro data.
Food & Drug Retail	(-)	Basket deflation and competition. A 4Q/2Q27 recovery looks demanding.
Medtech	(-)	Risk to back-end-loaded guidance and FY27 consensus looks too high.
Aerospace & Defence	(+/-)	Aftermarket resilient. Defence earnings growing, but the stocks are hurt by bond yields and drone disruption fears.
General Healthcare	(+/-)	3Q results should be broadly in line with consensus, and most companies should reiterate FY26 guidance. Upside is limited to a few names.
Food-HPC	(+/-)	Ingredients lead with healthy like-for-like growth. HPC is helped by strong emerging-market volumes. Softness in Europe and rising cost-of-goods inflation are the key risks.
Beverages	(+/-)	Positive Like-for-like growth, led by beer and soft drinks and mostly driven by price. Spirits are negative on US weakness and China.
Software	(+/-)	Q3 should be broadly in line. After the re-rating, the bar for upside is higher, and faster growth is needed to keep outperforming.

Source: J.P. Morgan.

We have compiled the highlights from our sector analysts' earnings previews in the table above. Please refer to our appendix for more detailed outlooks.

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Table 11: What to look for this earnings season - JPM analysts

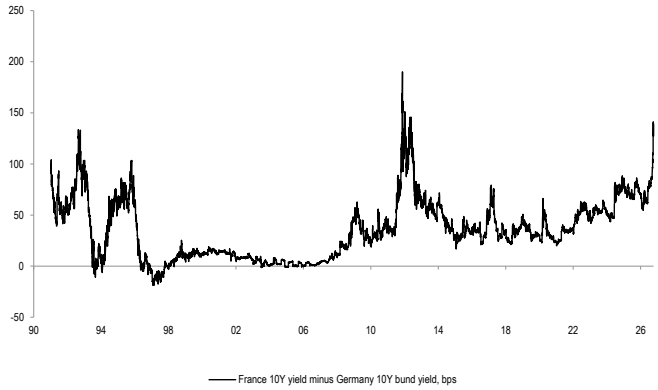
Sector	What to look out for into the season
Energy / EU Oil & Gas	Whether refining margin moderation persists; policy risk into YE (diesel curbs, windfall-tax); capital return / deleveraging pace; ME supply-disruption duration
Metals & Mining	Copper price sensitivity and FCF; iron ore/freight drag; EU import quota impact on steel pricing into Q4; China steel demand commentary; cost-inflation guidance updates
Chemicals	Whether ME-driven feedstock inflation translates into any price recovery; China/EM competitive intensity beyond commodities; Rhine duration; demand stabilisation vs deep spot discounts; protectionism policy evolution
Construction Materials	Price/cost spread: can pricing offset accelerating input costs; volume trajectory (EU vs US divergence); management tone on H2 demand; energy cost pass-through timing
Capital Goods	Orders/visibility reinforcing capex-cycle narrative; margin resilience; PMI inflection commentary; whether geopolitical caution overrides positive structural setup in share-price reactions
Aerospace & Defence	Delivery/execution; aftermarket growth resilience despite high fuel; defence spending commentary amid higher bond yields constraining govt budgets; tech-substitution risk narrative
Autos	Cost-base actions and European footprint rationalisation; demand/production commentary; China domestic vs export divergence; balance-sheet discipline; tariff clarity
Luxury	Q3 organic growth dispersion by brand/category; China spend quality (volume vs ticket); hard luxury vs leather goods; whether any catalyst emerges for soft luxury re-rating; earnings revision momentum
Sporting Goods	US spending sustainability; promotional intensity trajectory; inventory clean-up timeline; adidas share-gain durability; H2 growth confidence
Banks	NII sensitivity (ECB path, deposit betas, hedging reinvestment); capital return/buyback constraints; non-NII trends (Markets +2% YoY, IB fees -4% YoY 3Q); M&A commentary; bank taxation rhetoric (UK, France)
Insurance	Cat loss commentary; reserving/underwriting discipline; whether quiet hurricane season translates to reserve releases or prudent holds
Telecom	ARPU/pricing resilience; churn signals; capex trajectory; consolidation/regulatory updates; whether AI/agentic narrative shifts cost or demand outlook
Utilities	Data-centre load and grid investment framing; regulatory/carbon/nuclear stance; whether gas/power volatility translates into FY26 guidance upgrades; capex discipline vs returns
Semis	AI/data-centre order visibility and 2027 guidance; supply/capacity expansion signals; consumer end-market (Mobile) weakness; whether positioning/expectations overshoot given strong setup
Software	Demand pipeline/visibility; margin discipline; evidence of AI-driven revenue uplift vs disruption; execution dispersion among names
Staples / Food & Beverages	Organic sales growth; volume vs pricing mix; EM momentum ex-China; weather-sensitive categories; COGS inflation trajectory; off-premise alcohol trends; management confidence on FY guidance
Transport	Service levels / operational fixes (esp. DSV); volume and yield commentary; Rhine water-level duration; container vs air-cargo rate divergence; decarbonisation/SAF updates
Leisure (Hotels/Travel)	RevPAR by region (overall vs China/MEA); forward booking trends; whether China/MEA weakness broadens; guidance tone
Med Tech / Pharma	Tariff commentary impact on guidance; BD/M&A appetite and deal terms; regulatory developments (Germany/Italy); management-change read-through (Fresenius Medical Care)

Source: JPMorgan

We have compiled the key metrics and headlines to look out for in the upcoming earnings season, as highlighted by our sector analysts. The overarching themes include pricing power and cost pass-through (Chemicals, Construction Materials, Staples), China demand quality (Luxury, Autos, Metals & Mining), capital allocation discipline (Energy, Banks, Autos), and whether the AI/structural capex narrative holds up in Semis, Software, and Utilities. Policy and regulatory risk cuts across multiple sectors, while in consumer-facing names the focus is on demand resilience versus promotional intensity.

French exposure remains hostage to bond yields direction, but earnings are showing resiliency

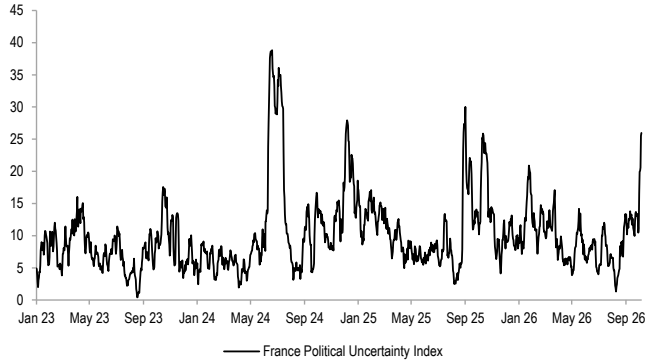
Figure 34: France 10y minus German 10y bund yield



Source: Bloomberg Finance L.P.

French OAT spreads versus Bunds have widened sharply in recent weeks, driven by rising concerns around France's fiscal outlook and the approach of the early-2027 elections, and amplified by the broader global bond sell-off.

Figure 35: France Political Uncertainty Index

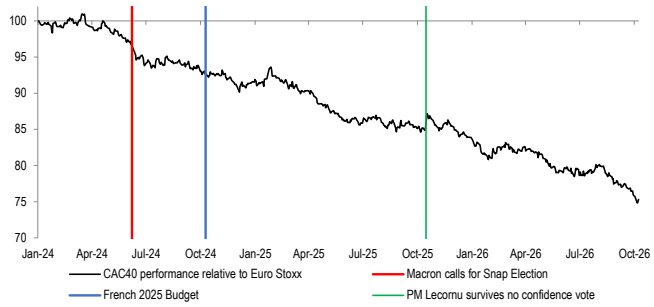


Source: Bloomberg Finance L.P.

The French Political Uncertainty Index has risen materially over the same period, a clear contributor to the bond sell-off in the region. Higher political uncertainty typically widens the distribution of macro/fiscal outcomes and could keep a risk premium embedded in French assets, even if near-term data remain resilient.

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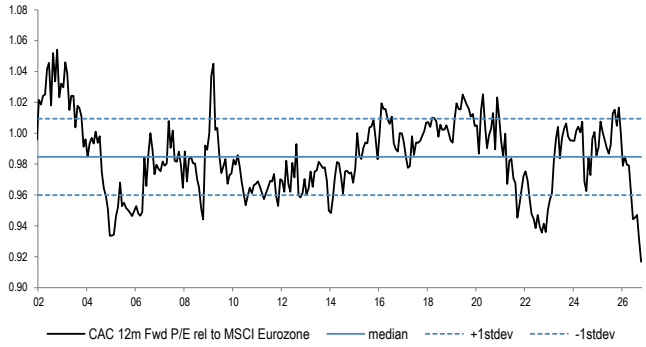
Figure 36: CAC40 performance relative



Source: Bloomberg Finance L.P.

The CAC has struggled over the last few years already, and is meaningfully underperforming the broader Eurozone market.

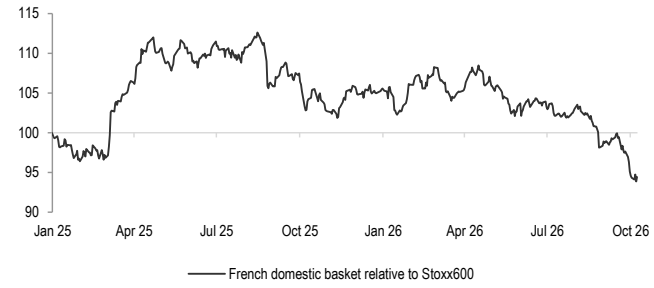
Figure 37: CAC 12m Fwd PE relative



Source: IBES

French stocks have de-rated by 10%+ relative to the market since their recent peak.

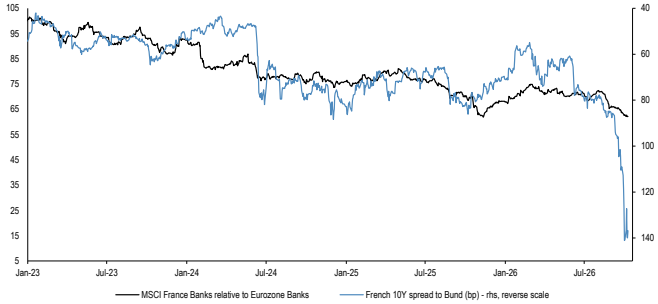
Figure 38: French domestic basket relative



Source: Bloomberg Finance L.P.

French domestically-exposed names have underperformed on a relative basis as well, consistent with investors demanding more compensation for local policy/rates uncertainty versus internationally diversified exposures.

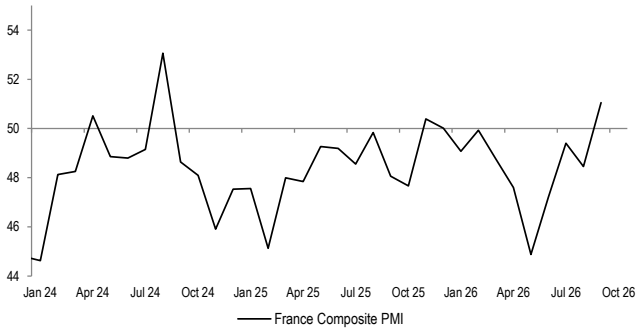
Figure 39: France Banks relative and OAT spread



Source: Datastream, Bloomberg Finance L.P.

French banks' relative performance has been tightly linked to moves in the OAT-Bund spread (i.e., sovereign stress). Our Banks analysts flag that wider OAT spreads and elevated policy uncertainty are more of a sentiment/valuation headwind than a direct balance-sheet shock for French banks, given hedged/mostly amortised-cost sovereign books and manageable liquidity/funding. If financial conditions were to tighten further, funding mix and macro/asset-quality would be the key transmission channels, alongside bank-tax rhetoric.

Figure 40: France composite PMI

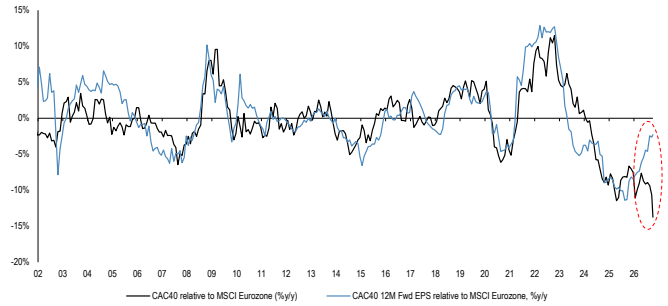


Source: S&P Global

France's composite PMI has improved, moving into expansion territory and signaling that fundamentals - both activity and earnings - have remained more resilient than the price action might warrant.

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Figure 41: CAC40 EPS relative and performance relative

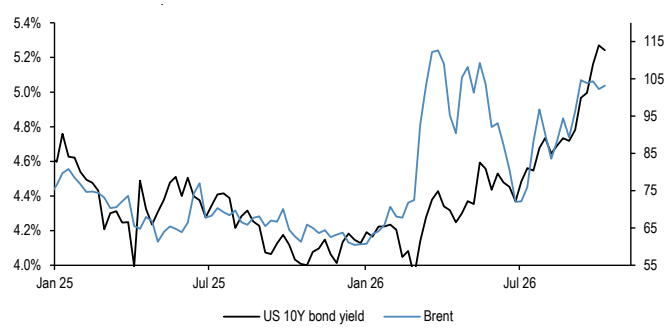


Source: IBES, Datastream

Indeed, a gap has opened between CAC40 relative performance and the relative forward EPS, implying that earnings expectations are holding up better than the market is rewarding in price. This divergence is unlikely to persist.

Overall, we have been arguing that when the Q3 results season starts, the market focus will shift onto still supportive fundamentals

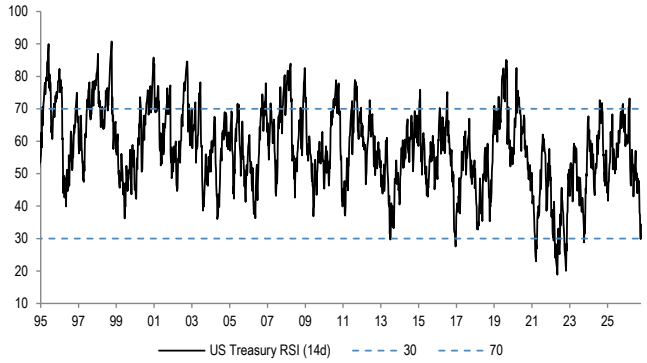
Figure 42: US 10y bond yield and Brent



Source: Bloomberg Finance L.P.

Bond yields pushing to 5.3% last week and Brent remaining elevated at around $105 appear to be challenging the overall equity backdrop. However, market focus could soon shift back to the still-supportive fundamentals and a strong earnings cycle, especially if oil prices and rates pressure ease.

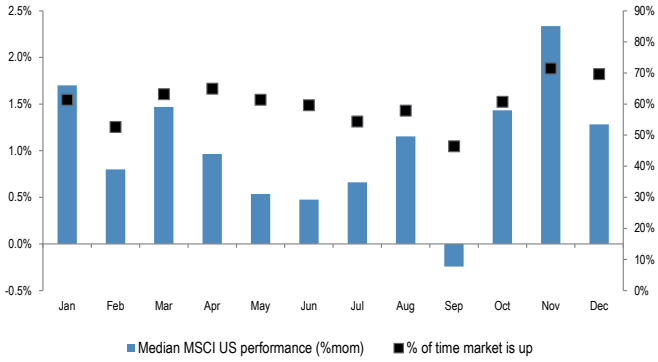
Figure 43: US bonds RSI



Source: Bloomberg Finance L.P.

As highlighted in our October Chartbook, we believe the bond sell-off is approaching exhaustion and yields should stabilise from here.

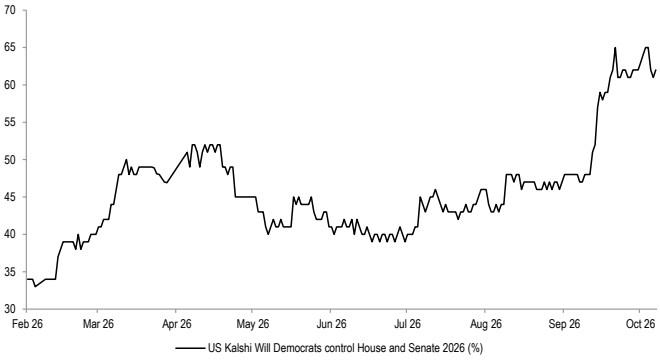
Figure 44: Seasonality of MSCI US performance



Source: Datastream

We are moving into the seasonally more favourable part of the year.

Figure 45: US Kalshi Will Democrats control House and Senate 2026 (%)

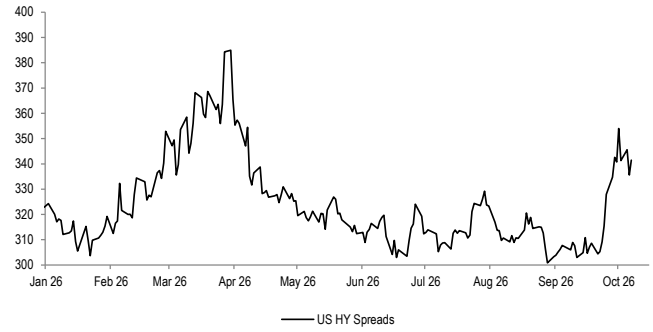


Source: Bloomberg Finance L.P.

The oil price remains a wildcard, but may be contained during October's heavy midterm campaigning schedule. If our

view of both bond yields and oil gains traction, it would allow equities to advance into year-end.

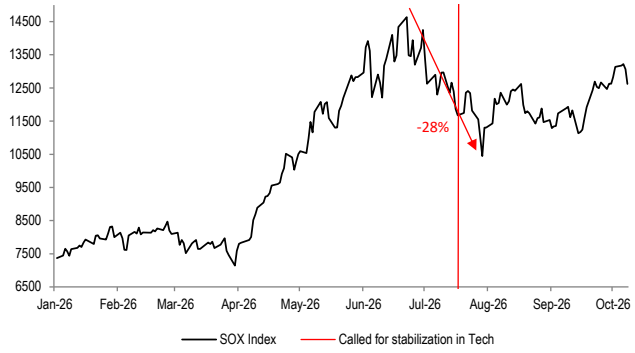
Figure 46: US HY Credit Spreads ytd



Source: J.P. Morgan.

Credit spreads have also widened in the last few weeks but remain well contained in a historical context. Overall, we think the widening reflects the broader repricing around yields and political uncertainty, rather than fundamental credit deterioration. If bond yields stabilise and Q3 earnings deliver, spreads should tighten again.

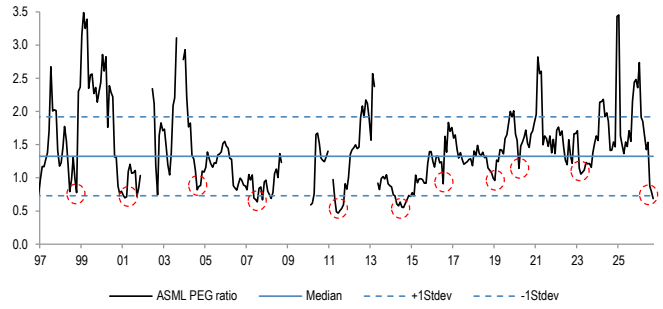
Figure 47: SOX Index ytd



Source: Bloomberg Finance L.P.

The Tech de-rating is now well advanced in a number of areas. We see the pullback in SOX as healthy because fundamentals are still solid and earnings estimates keep being revised up. Positioning is also cleaner after the correction, and we think our bullish Semis stance has more to go.

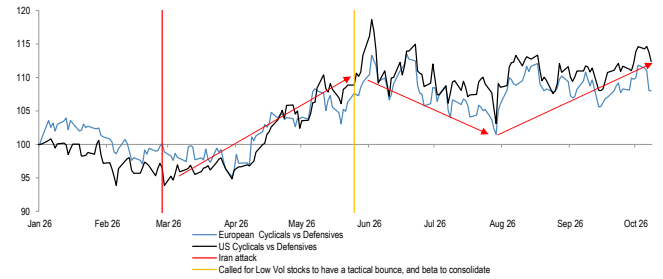
Figure 48: ASML PEG Ratio



Source: Datastream

Within European Semis, our sector analysts see semiconductor equipment makers as the cleanest exposure to higher capex. ASML is the key European name here, and our analysts flag the recent de-rating on the PEG ratio as a good buying opportunity.

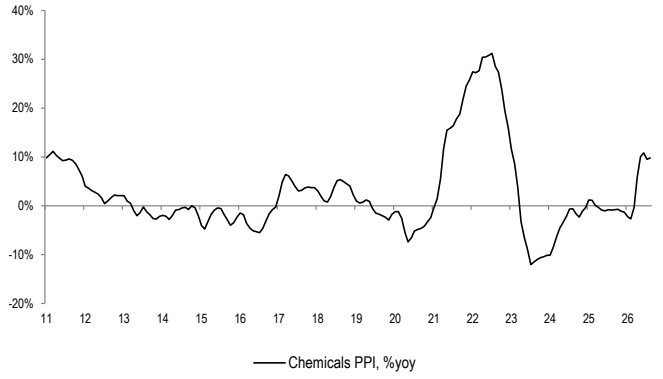
Figure 49: European and US Cyclicals vs Defensives ytd



Source: Datastream

Earnings support and broader market participation should allow cyclical sectors to take back the lead, and we see likely upside for Banks, Chemicals and Industrials, in addition to Semis.

Figure 50: Chemicals PPI



Source: Bloomberg Finance L.P.

Encouragingly, we note that the pricing backdrop for Chemicals is improving.

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Appendix

Table 12: Q3 Earnings Commentary by Sector Analysts

Sector	(+)/(-)	Comments
Energy	(+)	Sector analysts believe faltering inventories across multiple energy products and regions have become ever harder for investors to ignore as sustained Middle East de-escalation proves elusive. MTM estimates to O&G forward strips gives a 2027 FCF yield 10.9% ($85 Brent, refining $5 above mid-cycle) and puts EPS an average MSD% above consensus. Next energy policy steps require close monitoring into YE, evidenced by recent initiatives to curb diesel and windfall tax debate in Europe. 3Q EPS should be stellar and refining led. Clear 3M market-relative EU Oils outperformance suggests this is well recognised though and a rising tide tends to lift all boats, eg: balance sheet deleveraging. With this in mind, their tactical preferences through reporting are: 1) Stay OW UK Supermajors over N-rated TotalEnergies; 2) OW Eni for O&G price leverage, positively trending operations and special DPS upside; 3) Midcaps. Refining conditions have been exceptional but, more recently, margins have exhibited moderation. If this persists, they would tread carefully following YTD outperformance. They are OW Galp (non-price dependent catalysts) and UW OMV.
Metals & Mining	(-)	Into Q3, sector analysts expect pure play copper miners to report broadly flat earnings QoQ, driven by higher copper prices, partly offset by higher costs (diesel, energy). While diversified majors with iron ore exposure won't report Q3 earnings, they see earnings momentum turning negative on lower iron ore prices and higher freight costs. Key considerations over Q3 and H2: 1) cost inflation and updates to guidance; and 2) whether copper tariffs arrive - JPM Commodities Research's base case remains that the US eventually pursues a phased, escalating tariff on refined copper imports In European Steel, they expect broadly lower earnings QoQ, driven by 1) seasonally lower activity in Q3; 2) higher energy costs (electricity, natural gas); and 3) weak end segment demand specifically across construction, autos, and industrial segments. Companies with US-based operations/exposure better placed into Q3/H2 due to tight supply conditions in US (i.e. higher prices). They expect a pickup in Q4 as restocking begins, the full impact of tariff quota cuts feeds through, and pricing power returns to European steel producers.
Chemicals	(-)	Sector analysts remain cautious on European Chemicals: while top-down indicators and company comments point to broadly in-line 3Q26, the bottom-up outlook remains challenged by structural overcapacity and rising competition from China/EM players—now extending beyond commodities into selected specialty categories. The July re-escalation of the Middle East (ME) conflict has not translated into broad-based price uplifts despite higher feedstock costs; China commodity margins have improved modestly into September but remain well below the Mar/Apr peaks and highly oil-sensitive, while Europe is seeing the clearest margin squeeze from higher feedstock/energy costs, weak demand and persistent deep spot discounts. In this context, the ME conflict is no longer a tailwind and is likely turning into an incremental headwind for parts of the sector, with near-term earnings risk further compounded by higher European gas prices and low Rhine water levels. Hence, their 2027 estimates are materially below consensus for much of the sector. Against this backdrop, they see logical industry consolidation as one of the few credible pathways to structurally improve competitiveness (scale, portfolio focus, cost take-out and improved pricing power) and ultimately improve returns. Encouragingly, activity appears to be picking up—via the announced Akzo/Axalta merger, Syensqo's strategic review of the Performance & Care division (a less attractive part of the portfolio, but one where a transaction could still help crystallize SOTP value and sharpen focus), and recent Dealreporter newsflow around BASF's interest in Evonik, where we see more limited upside than from potential alternative transactions for BASF (e.g., Syensqo's Performance & Care division). They therefore stay selective: key OWs are Novonesis (AFL), Umicore (placed on Positive CW), Syensqo (placed on Positive CW), Croda, Clariant, Akzo (OW reinstated), Fuchs and Solvay, while key UWs are BASF, Wacker, Yara, Evonik, Brenntag, IMCD, DSM-Firmenich and Arkema.
Capital Goods	(+)	From an end market perspective, the set-up for the sector continues to be very positive into Q3 and 2027 and price/cost dynamics are as well managed as we've ever seen. However, the geopolitical and macroeconomic uncertainty is driving significant multiple volatility, making the sector difficult to own from one day to the next. Sector analysts expect Q3 to remain volatile for share prices, although expect modest upgrades rather than downgrades during the season. Longer term, the implications of Europe's increased emphasis on security, resiliency and strategic autonomy should be a longer-lasting, policy-supported capex cycle spanning defence, energy, grid, industrial capacity, digital infrastructure, and selected critical supply chains. Relative to the US, the EU is starting from a deeper underinvestment in all of the aforementioned verticals, at a time when relative valuations have never been sustainably cheaper. Their top picks heading into Q3 earnings are Siemens Energy, Legrand, Alstom, Vestas, Weir and Epiroc.
Aerospace & Defense	(+)/(-)	• Airbus delivered slightly fewer planes yoy in Q3 26 and so we expect soft EBITA for the quarter. Despite the high jet fuel price the aftermarket has remained very resilient and they expect solid growth from the aero engine companies in Q3 26. • In Defence they expect all the companies to report higher sales and EBITA yoy. However, the stocks are under pressure due to higher bond yields (which impact govt spending capacity) and specific worries for the land warfare companies (ie. will their product portfolios be replaced by newer technologies such as drones and unmanned vehicles).
Luxury	(-)	As widely debated in September, the luxury environment should have taken a step down in Q3 vs a better Q2, with slower trends for most regions and nationalities. While no one should be immune, this kind of backdrop should translate into even higher polarisation of performance and test even more the relative quality and self help at each brand. Overall, sector analysts have modelled the luxury sector growth to slow from +6% in Q2 to +3% in Q3, albeit with a very large dispersion by brand. On the more positive side, they expect another strong quarter for jewellery (they have placed Richemont on Positive Catalyst Watch into H1 results in November) and high-end RTW (Brunello Cucinelli/Zegna brand), all maintaining solid double-digit growth despite the tough comps and a more challenging environment. On the other hand, another step down in the luxury backdrop will likely translate into further pressure on already fragile trends in soft luxury, with no leather goods brand strong enough to remain immune. In this context, the sector valuations have de-rated further in the last month, reaching new lows (on EV/Sales and as a premium to the MSCI Europe the sector is trading at 15-year lows). Still, with ongoing negative earnings revisions (they still sit LSD/MSD% below consensus for leather goods) and lackluster fundamentals into next year, they do not see a real catalyst to bottom-fish on any of the soft luxury pullbacks. Instead, we would take any sector-driven pullbacks on Richemont/Brunello/Zegna as buying opportunities and would look to revisit the long on Moncler as its approach its peak season.

Internet	(-)	For Online Classifieds, while sector analysts remain bearish on the sub-sector overall on the AI disintermediation risk, they see limited impact on numbers in the near-term and expect Q3 results to come in broadly in-line. Across the sector, they remain confident on 1) JCDecaux (OW) where they expect strong Q3 trading and an encouraging message on upcoming tenders. They placed the name on Positive Catalyst Watch, forecasting organic revenue growth of +6.3%, well above the company's guidance for c.5%. 2) CTS Eventim (OW) where they expect a more visible contribution from Milan as the event schedule builds through late summer, alongside a Q3 ticketing benefit from the second LA28 allocation (albeit with a less helpful margin mix). They also flag that the company will host its CMD on 20 Nov. 3) YouGov (OW) where they expect the company to provide additional colour on the Shopper strategic review and capital allocation (including the post-refinancing pathway) at FY26 results in October. They also note that the Board intends to commence a discretionary share repurchase programme immediately following the FY26 results. By contrast, they remain cautious into Auto Trader's H127 results in November on cadence and quality, modelling +0.5% YoY revenue growth and a 64.9% operating margin (ex-vehicle & accessory sales), while the set-up remains H2 back-end loaded with elevated headline sensitivity as AI-led discovery evolves and Amazon Autos remains a credible UK entry overhang. Ahead of the results, they also flag Auto1's recent comments on its pre-close call highlighting that the new trading system has resulted in slightly lower volume outcomes than expected in both Merchant and AutoHero; we now model volume growth of +17% YoY.
Retailing	(-)	Current focus from investors is understandably on the demand outlook into peak, and also into next year given pressures on consumer wallets from energy and fuel price inflation, along with the potential for food inflation to once again move higher. Recent warm temperatures have compounded concerns on the near-term clothing market outlook. German data in particular has been soft, and French macro data has been unhelpful (with rising unemployment and negative real wage growth). Combined with pressure from input cost inflation, and the upcoming Budget in the UK, many investors see little reason to be bullish on the sector ahead of reporting. Sector analysts indeed expect COGS inflation and the pricing outlook to be a key topic of conversation on management conference calls. They are mindful that whilst most retailers face significant pressure, there could also be some notable offsets (including, the impact from the FTA between the UK and India, space capacity in some markets more broadly, internal sourcing/ supply chain initiatives and lower US tariffs yoy). More broadly, they are mindful that conversations on risks to the sector from agentic commerce could once again rise to the fore, given the recent introduction of Meta Muse.
Food/HPC	(+)/(-)	In Food/HPC, sector analysts remain positive on Ingredients, and selective within HPC. They see LFL at Q3 of +5.2% for ingredients with the strongest at Givaudan (OW, +ve CW) at +6.7%, and continued solid volume performance at Kerry (OW) which they see as a key Value opportunity. In Food, they see a positive set up for Danone (OW, AFL,+ve CW) on a potential relief given the low valuation and expectations of major profit pools tracking in line. Nestle (N) has upside to surprise on RIG, TMICC (N) may see upside to FY outlook, whilst Lindt (UW) LFL is set to be the weakest in H2, with softness in Europe and risks to prolonged topline weakness in 27E (and to MT guide). Within HPC, they are selective and see upside at Unilever (OW, AFL, +ve CW) into results on volumes' strength supported by strong EMs, and opportunity to re-rate core HPC. They see an acceleration at Puig (N), with JPMe +5.1% driven by Fragrances and Makeup. They remain negative on Haleon (UW, -ve CW) with MT-guidance to be in question with another weak topline result. Essity (UW) faces earnings risks from rising COGS inflation.
Beverages	(+)/(-)	Sector analysts continue to prefer Beer, though across the space continue to see headwinds from two large markets, China and the US. They see LFL overall at +4.3%, highest for soft drinks and beers, and dragged by Spirits -0.6%. They expect ABI (OW, AFL) to see LFL +4.1%, entirely price-driven as volume headwinds continue in China and to a lesser extent the US. They have placed Heineken (N, +ve CW) on Positive Catalyst Watch on upside to consensus, with good consolidated volumes (JPMe +2.3%) likely to be a relief. Meanwhile, they continue to see issues in Spirits, weakest at Pernod Ricard (N) on continued issues in the US end market into the company's fiscal Q1, combined with the company's sell-in sell-out gap (JPMe Q3 LFL -2.5%), and China weakness. In Soft Drinks, they model Q3 strength at CCH (N), with LFL +8.7% on improved delivery in DMs, as well as favourable weather in Europe.
Food & Drug Retail	(-)	JMT (OW, AFL): Into 3Q results (28 Oct), sector analysts expect continued pressure as leading indicators through August remain soft amid sizeable basket deflation and intense competition; they model Biedronka LFLs of -1.8% in 3Q. The positive is food prices turning slightly positive (+0.1% m/m; first positive in five months), which could be an early sign of stabilization. This supports a more constructive view into 4Q26/FY27, assuming LFLs can sequentially move back into +LSD% territory as pricing normalizes, with Biedronka remaining relatively resilient versus peers. AD (UW, AFL, -CW): They place Ahold Delhaize on Negative Catalyst Watch ahead of 3Q26 (4 Nov), expecting further top-line/volume pressure and margin drag from price investment vs still-bullish market expectations. Guidance and consensus imply a sharp 4Q26/2027 inflection (guidance: 4% margin, €2.3bn FCF, MSD–HSD% EPS growth cFX) that looks increasingly demanding given weakening trends in broader market/Circana data. They are ~2% below Street in 3Q and ~6% below in 4Q, and see meaningful downside risk: if their 3Q proves correct, the implied 4Q EPS swing required to deliver the full-year guidance (c.+11% y/y) would be remarkable and, in their view, difficult to achieve. CA (UW): Despite share outperformance (+25% in 1Y; +13% YTD) and positioning that suggest a market leaning toward a positive inflection, they think expectations remain at risk of disappointment following a 1H26 downgrade event (as we had anticipated), recent market share slippage and a rather sluggish 3Q trading outlook. Given our DD% negative delta vs consensus into 3Q/2H26, they see a continued need for expectations to reset. They forecast group ROI +2% y/y in 2H (8% below the Street) and remain below company FY guidance on margins (+10bps y/y vs +25bps guided), EPS (-2% y/y vs HSD% growth) and FCF (DD% below).
Medtech	(-)	Sector analysts generally remain cautious into Q3 results, particularly on names where we (i) see continued risk around heavily back-end loaded guidance (eg. Philips, Diasorin), (ii) believe consensus expectations are in the wrong place for FY27 (Ambu, Carl Zeiss and Fresenius Medical) and (iii) identify a valuation disconnect (Coloplast). However, where management teams have already rebased FY27 expectations / choose to give early commentary at Q3, they think there could be pockets of opportunity, particularly where there is potential scope for further upgrades (eg. Demant and Fresenius SE).

Banks	(+)	European Banks' valuations remain attractive at 8.7x PE, 1.5x P/NAV, for an ROTE of 18.6% 2028E, offering a total yield of c8% p.a. in 2026-28e. Our sector analysts remain constructive on the sector and expect further re-rating from c11% cost of equity at present, towards c9% - in line with post GFC lows seen in 2017-18, albeit with a more positive interest rate backdrop and stronger sector fundamentals and banking system today due to i) more and better-quality capital, ii) excess deposits in the EU banking system, and iii) cleaner B/S and ability to absorb capital hits due to higher cashflow generation. Their expectation for re-rating is driven by: a) Goldilocks economic environment (~3% sweet spot in ECB rates, low unemployment, pick-up in loan growth and generally healthy vol in markets), b) European banks at a still material discount of c30% to market (SX7P vs SXXP), c) strong capital position and better-quality capital (CET1 ratio 14%+), d) Pre-provision operating profit growth c9% p.a. over 2025-28e. Their top picks are Standard Chartered, Deutsche Bank, UBS, Natwest, ING Into Q3 results, our analysts expect continued resilient earnings performance and forward looking commentary across 2026 and the medium term including on: 1) ECB rates trajectory and the NII outlook/sensitivities with some guidance upgrades expected considering: a) Rates trajectory with Euribor forward rates currently pricing 2.4%/3.3% vs. our analysts' assumptions of 2.2%/3.0% in '26/27E, b) deposit beta developments post the ECB rate hike and amidst expectations for further hikes although they have remained resilient so far, c) loan demand, asset pricing and margins given the changed rates expectations and higher bond yields although loan growth has remained resilient so far, d) impact of hedging actions and reinvestment yields amidst an uptick in long-term bonds yields; 2) The outlook for Non-NII where our analysts expect slightly weaker trends in IB revenues with Markets (+2% y/y 3Q26, -7% q/q) and IB fees (-4% y/y, -6% q/q) in a seasonally weaker quarter; 3) Asset quality, which continues to be benign but our analysts see further normalization of cost of risk across the medium term from a strong starting position although remain watchful on tightening financial conditions; 4) Capital return, where our analysts expect limited mark-to-market impacts from higher bond yields barring HSBC (JPMe 22bps of CET1); some banks are expected to announce interim dividends and buybacks; 5) Comments regarding M&A amidst some pick-up in activity across most European regions. 6) Comments on bank taxation amidst heightened political rhetoric in some countries, e.g. the UK and France.
General Healthcare	(+)/(-)	For 3Q'26 earnings for EU Pharma sector analysts see the majority of companies delivering results broadly in-line with Consensus, with Novartis, Sanofi and Novo the key outliers where we are 3% ahead, 5% and 6% ahead on Core earnings respectively. On FY26 guide, they expect reiteration for most companies other than Novo, where their expectation for a guidance raise seems reflected in Consensus, and Novartis, where we still see modest 2% upside to FY26 Core EPS. That said, they expect sector earnings for FY26 to remain broadly unchanged post 3Q.
Tech Hardware & Semis	(+)	• For Semiconductor devices, AI exposed companies to see continued strength in sales and order trends: AI Data Centre remains the most dynamic end-market with rapid growth expected to be reported in Q3 driven on Power (Infineon) and Optical (STMicroelectronics). Automotive is likely to see its continued restocking, while Industrial end-market growth should remain robust. The Consumer end-market is more challenged (especially Mobile) given the impact of DRAM pricing leading to demand destruction. • Semi Equipment is likely to see a strong trends and sector analysts expect most companies will guide to improving momentum in Q3 sales (and orders where reported). Companies are likely to report very high visibility into 2027 as well as increasing confidence on ability to increase supply (to meet surging demand). Investors will look to order strength or if that metric is not reported to capacity/sales increase indications.
Software	(+)/(-)	SAP: Sector analysts expect broadly in-line Q3 results, but with the bar for upside higher after the Q2 CCB surprise, valuation re-rating and positive CEO commentary. SAP has adjusted FY26 non-IFRS operating profit guidance for the dilutive impact of Dremio and Prior Labs, now expecting EBIT of €11.8-12.2bn, or 13-17% Y/Y CC, vs. €11.9-12.3bn previously, while maintaining FY26 cloud revenue guidance of €25.8-26.2bn, cloud & software revenue of €36.3-36.8bn, and FCF of €10bn. For Q3, they model group revenue of €10.1bn, CCB growth of ~25% Y/Y CC, Non-IFRS EBIT of €2.94bn, and FCF of €1.57bn. Dassault Systems: They expect Q3 results to be broadly in line with expectations and guidance. Q3 guidance is for total revenue of €1,497-1,537m, growth of 3-5% CC, operating margin of 31.0-31.1%, and EPS of €0.30-0.31, implying 4-7% CC growth. They model Q3 revenue of €1.53bn, up 4.2% Y/Y CC, adj. EBIT of €475m at a 31.1% margin, and adj. EPS of €0.31. While delivery has become more consistent, they think a more meaningful growth acceleration is needed to support sustained outperformance. Sage: They expect Q4 organic growth to moderate given a tougher comp, but still see potential for a slight organic revenue growth beat versus consensus. Sage's current FY26 guidance is for organic revenue growth "above 9%", and they model FY26 organic revenue growth of 10.0%, organic ARR growth of 10.4%, and underlying operating profit margin of 24.6%.
Utilities	(+)	Sector analysts see European utilities delivering a strong set of results again, with risk on the upside for the FY26 guidance particularly across power generators and vertically integrated utilities. The sharp upward move in absolute gas and power prices and the meaningful increase in volatility should favor uncontracted gas and power volumes as well as trading and optimization operations, while the spread businesses (eg pumped storage) should contribute record high earnings due to the combination of volumes and margins.

Source: J.P. Morgan.

Table 13: Profit Warnings so far

Company Name	Ticker	Commentary	Date	1Day Perf relative to market, %	Sector
MILLERKNOLL INC	MLKN US	Softer than expected demand	22 Sep	-0.1%	Industrials
HELLOFRESH SE	HFG GR	Added fewer customer in its back to school program	25 Sep	-6.3%	Staples
FLUTTER ENTERTAINMENT PLC-DI	FLUT US	Impact from Brazil's move to ban online gambling	28 Sep	-7.2%	Discretionary
ENTAIN PLC	ENT LN	Impact from Brazil's move to ban online gambling	28 Sep	-5.0%	Discretionary
INTEGRA LIFESCIENCES HOLDING	IART US	Impact from facility flooding	02 Oct	-21.9%	Health Care
VOLVO CAR AB-B	VOLCAR B SS	Deteriorating market conditions in China	02 Oct	-8.1%	Discretionary
CAMPING WORLD HOLDINGS INC-A	CWH US	Soft RV unit sales and margin pressure	05 Oct	-10.2%	Discretionary
WIENERBERGER AG	WIE AV	Slower than expected construction market	06 Oct	-4.2%	Materials
OPMOBILITY	OPM FP	Higher costs and impact of production halts from clients	07 Oct	2.7%	Discretionary

Source: J.P. Morgan.,Bloomberg Finance L.P.

Table 14: JPM French Domestic Basket - JPDEFRDM

Name	Ticker	Sector	JPM Rating	Price (LC)	Analyst Name
TELEVISION FRANCAISE (T.F.1)	TFI FP	Communication S	OW	6.0	Daniel Kerven
THALES SA	HO FP	Industrials	N	215.7	David Perry
ADP	ADP FP	Industrials	OW	102.1	Elodie Rall
EIFFAGE	FGR FP	Industrials	OW	99.0	Elodie Rall
CANAL+SA	CAN LN	Communication S	NC	227.6	-
CARREFOUR SA	CA FP	Consumer Staple:	UW	16.2	Borja Olcese
CREDIT AGRICOLE SA	ACA FP	Financials	UW	16.2	Delphine Lee
SOCIETE GENERALE SA	GLE FP	Financials	N	62.5	Delphine Lee
VINCI SA	DG FP	Industrials	N	107.0	Elodie Rall
ENGIE	ENGI FP	Utilities	OW	22.7	Javier Garrido
SPIE SA	SPIE FP	Industrials	OW	41.5	Jane Sparrow
ELIS SA	ELIS FP	Industrials	OW	21.1	Jane Sparrow
AXA SA	CS FP	Financials	OW	41.4	Farooq Hanif
BNP PARIBAS	BNP FP	Financials	OW	89.2	Delphine Lee
REXEL SA	RXL FP	Industrials	OW	33.3	Akash Gupta
BUREAU VERITAS SA	BVI FP	Industrials	OW	26.2	Victoria Chang
VEOLIA ENVIRONNEMENT	VIE FP	Utilities	N	30.9	Javier Garrido
LOUIS HACHETTE GROUP	ALHG FP	Communication S	NC	1.7	-
HAVAS NV	HAVAS NA	Communication S	N	17.6	Daniel Kerven
GETLINK SE	GET FP	Industrials	N	18.7	Elodie Rall
M6-METROPOLE TELEVISION	MMT FP	Communication S	UW	10.3	Daniel Kerven

Source: Bloomberg Finance L.P., J.P. Morgan, all stocks are liquidity weighted in the basket. This basket has been created to leverage the theme of this research report. It includes companies that are not covered by J.P. Morgan Research (marked "NC") and should not be viewed as a recommendation with respect to these companies. Prices as of COB 8th Oct 2026

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Equity Strategy Key Calls and Drivers

Equities got hurt by the spike in bond yields, but we do not think this will persist. First, historically, the start of Fed tightening was a confirmation that the economy was strong, rather than a signal to sell. We expect continued robust earnings delivery, with Q3 results starting next week, EPS revisions remain in positive territory in most places. This is aided by a rebound in PMIs, even in challenged areas, such as Eurozone. Our lead indicator of earnings is staying on an uptrend. The spike in bond yields, the key headwind for stocks, might be getting stretched. Bonds are close to oversold territory, and we note Fed funds futures, which made a huge, almost 200bp, move up ytd, are not increasing anymore. Crucially, we do not see inflation expectations becoming de-anchored, the differences to 2022 template remain big, in terms of Tech outlook and the inflation/wages/labour backdrop. Beneath the surface, we favour Tech sector. Also, in the past 3 months, during the spike in yields, market internals remained largely risk-on, with Cyclicals top in Europe, and all Defensives behind. Market recovery will likely see Cyclicals favoured further. French political risk will likely not go away. Having said that, CAC40 has already done poorly, spreads are near record wide, and CAC40 P/E relative is at record lows – a lot is in the price.

Table 15: J.P. Morgan Equity Strategy — Factors driving our medium-term views

Driver	Impact	Our Core Working Assumptions	Recent Developments
Global Growth	Neutral	Growth-Policy trade-off was supportive ahead of the conflict, and we do not believe that this will be dramatically changing	Global composite PMI is at 53.5
European Growth	Positive	Fiscal policy changes and energy inflation to drive GDP revisions	Eurozone Manufacturing PMI is at 52.7
Monetary Policy	Neutral	Central banks might deliver less tightening than is currently priced i	
Currency	Neutral	USD peaking	
Earnings	Positive	Strong earnings momentum to drive the market	EPS revisions are outright positive
Valuations	Negative	At 20x, U.S. forward P/E is still stretched, especially vs real yield	MSCI Europe on 14.2x Fwd P/E
Technicals	Neutral	Technicals in crowded areas have improved, overall equity positioning is rather light	Households' equity weight as a share of total assets is at record high

Source: J.P. Morgan estimates

Table 16: Base Case and Risks

Scenario	Assumption
Upside scenario	Fed on pause while inflation remains in check and growth is stronger
Base-case scenario	Economic growth, inflation remains sustainable and Fed policy rate on hold, Geopolitical uncertainty subsides
Downside scenario	Fed hikes rates with inflation picking up. Geopolitical uncertainty escalates further

Source: J.P. Morgan estimates.

Table 17: Index targets

	Dec '26 Target	Current	% upside
MSCI EUROZONE	420	384	9%
FTSE 100	11,000	10,705	3%
MSCI EUROPE	2,750	2,555	8%
EURO STOXX 50	6,800	6,300	8%
STOXX 600 E	680	640	6%

Source: J.P. Morgan

Table 18: Key sector calls

Overweight	Neutral	Underweight
Mining	Utilities	Energy
Capital Goods	Healthcare	Media
Semis	Autos	Staples
Construction Materials	Telecoms	Insurance
Luxury	Real Estate	
	Chemicals	
	Banks	
	Technology Hardware	

Source: J.P. Morgan.

Table 19: J.P. Morgan Equity Strategy — Key sector calls*

Sector	Recommendations	Key Drivers
Metals & Mining	Overweight	Preferred on a constructive China impulse and bearish USD backdrop (with "spot gap" now tighter), with China activity the key wildcard.
Cap Goods	Overweight	Supported by a constructive capex/electrification outlook, favoring parts of Industrials tied to investment spend.
Semis	Overweight	Expected to stabilize/benefit as the China/EM upswing helps previously China-exposed cyclicals and underperformers recover.
Media	Underweight	Likely to keep struggling regardless of near-term activity resilience, given ongoing AI-related disruption (though tactical bounces are possible after derating).
Software	Underweight	Similarly pressured by the AI threat and likely to remain a laggard structurally, even if oversold conditions drive intermittent rallies.

Source: J.P. Morgan estimates. * Please see the last page for the full list of our calls and sector allocation.

Table 20: J.P. Morgan Equity Strategy — Key regional calls

Region	Recommendations	J.P. Morgan Views
EM	Overweight	EM are underowned, valuations are cheap, flows could restart, weaker USD helps, reduced China trade headwinds
DM	Underweight	
US	Neutral	Crowded positioning, full valuations and AI commoditization risk, may not be regional outperformer
Japan	Neutral	Fundamentals remain solid, reforms/buybacks/wage gains help, but had big rally, fuller valuations
Eurozone	Overweight	Improving credit impulse, car sales data and strong earnings revisions and PMIs
UK	Neutral	Structurally cheap with high dividends and lower AI/trade sensitivity - useful in risk-off - but lacks near-term growth catalysts

Source: J.P. Morgan estimates.

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Top Picks

Table 21: J.P. Morgan European Strategy: Top European picks

					Market Cap	EPS Growth			Dividend Yield	12m Fwd P/E			Performance	
Name	Ticker	Sector	Price	Currency	(€ Bn)	25	26e	27e	26e	Current	10Y Median	% Premium	-3m	-12m
AEGON LTD	AGN NA	Financials	8	E	11.9	4%	19%	8%	4.7%	7.9	6.8	16%	-3%	11%
AIB GROUP PLC	AIBG ID	Financials	11	E	23.3	0%	-4%	11%	3.2%	11.7	10.9	8%	10%	44%
ALSTOM	ALO FP	Industrials	16	E	7.4	958%	9%	40%	1.5%	8.9	16.3	-45%	1%	-29%
ANHEUSER-BUSCH INBEV SA/NV	ABI BB	Staples	67	E	136.0	6%	19%	12%	1.3%	15.6	17.7	-12%	-5%	31%
ARGENX SE	ARGX BB	Health Care	839	E	52.7	3977%	46%	33%	0.0%	26.4	-22.8	-	3%	24%
ASML HOLDING NV	ASML NA	IT	1610	E	625.0	28%	58%	39%	0.4%	32.1	29.4	9%	7%	84%
ASTRAZENECA PLC	AZN LN	Health Care	12180	£	222.7	12%	11%	11%	1.9%	14.6	18.1	-19%	-15%	-5%
BABCOCK INTL GROUP PLC	BAB LN	Industrials	891	£	5.1	64%	-21%	67%	0.6%	13.2	8.9	48%	-17%	-29%
BARCLAYS PLC	BARC LN	Financials	432	£	68.1	27%	7%	23%	1.9%	7.3	7.3	0%	-16%	14%
BAYERISCHE MOTOREN WERKE AG	BMW GR	Discretionary	54	E	33.0	-	-44%	31%	8.0%	6.6	7.1	-7%	-12%	-37%
BT GROUP PLC	BT/A LN	Telecoms	198	£	23.3	1%	-2%	3%	4.0%	10.3	8.3	24%	4%	9%
CIE FINANCIERE RICHEMO-A REG	CFR SW	Discretionary	173	SF	109.4	-1%	-3%	23%	1.5%	22.9	22.3	3%	-7%	11%
CONTINENTAL AG	CON GR	Discretionary	70	E	14.2	1%	-21%	9%	3.6%	10.4	9.8	6%	-4%	19%
DANONE	BN FP	Staples	59	E	40.2	5%	4%	8%	3.7%	14.1	16.9	-16%	-21%	-19%
DSV A/S	DSV DC	Industrials	1138	DK	36.6	-1%	25%	31%	0.6%	14.6	22.9	-36%	-31%	-13%
FERROVIAL NV	FER SM	Industrials	45	E	32.8	-72%	-23%	17%	1.7%	41.7	50.1	-17%	-22%	-12%
FRAPORT AG FRANKFURT AIRPORT	FRA GR	Industrials	61	E	5.4	-4%	-33%	9%	0.0%	17.6	15.2	15%	-20%	-18%
FRESNILLO PLC	FRES LN	Materials	2688	£	23.3	465%	43%	2%	0.7%	11.9	19.4	-39%	-1%	17%
INDUSTRIA DE DISENO TEXTIL	ITX SM	Discretionary	53	E	166.2	9%	6%	9%	2.9%	23.4	22.8	2%	-5%	9%
JERONIMO MARTINS	JMT PL	Staples	17	E	10.6	8%	10%	12%	3.5%	13.6	19.7	-31%	0%	-19%
LEONARDO SPA	LDO IM	Industrials	46	E	26.6	15%	52%	22%	1.1%	16.6	9.8	69%	-15%	-16%
MARKS & SPENCER GROUP PLC	MKS LN	Staples	394	£	9.7	31%	-25%	42%	0.8%	11.3	11.2	1%	3%	4%
NEMETSCHEK SE	NEM GR	IT	66	E	7.4	41%	8%	23%	0.8%	24.0	48.7	-51%	11%	-40%
NOKIA OYJ	NOKIA FH	IT	10	E	54.8	-26%	17%	21%	1.5%	24.4	14.6	67%	-8%	124%
NOVONESIS (NOVOZYMES) B	NSISB DC	Materials	432	DK	27.0	16%	37%	11%	1.0%	26.1	28.7	-9%	1%	7%
ORANGE	ORA FP	Telecoms	14	E	37.9	5%	52%	-13%	5.1%	12.1	10.4	16%	-11%	8%
PRUDENTIAL PLC	PRU LN	Financials	881	£	25.7	13%	18%	22%	2.0%	8.8	10.8	-19%	-14%	-15%
RWE AG	RWE GR	Utilities	58	E	45.0	-21%	23%	8%	1.7%	17.9	14.7	22%	2%	45%
SAIPEM SPA	SPM IM	Energy	4	E	8.7	0%	4%	91%	3.7%	16.7	16.3	2%	-1%	72%
SHELL PLC	SHEL LN	Energy	3648	£	246.1	-17%	86%	-11%	2.9%	9.1	9.9	-8%	21%	31%
SIEMENS AG-REG	SIE GR	Industrials	270	E	210.4	17%	-10%	14%	1.9%	21.8	15.4	41%	0%	12%
SIEMENS ENERGY AG	ENR GR	Industrials	144	E	123.0	-	174%	41%	0.0%	22.7	30.4	-25%	-8%	37%
SSE PLC	SSE LN	Utilities	2459	£	35.4	13%	-5%	19%	2.4%	12.5	12.2	3%	-1%	39%
STANDARD CHARTERED PLC	STAN LN	Financials	2151	£	55.1	36%	7%	17%	1.3%	10.5	9.1	16%	1%	49%
TECHNIP ENERGIES NV	TE FP	Energy	28	E	5.1	-6%	-9%	58%	3.0%	10.9	10.5	4%	-18%	-30%
UBS GROUP AG-REG	UBSG SW	Financials	39	SF	138.2	55%	57%	22%	1.9%	11.0	10.6	4%	-6%	21%
UNILEVER PLC	ULVR LN	Staples	4623	£	117.4	-8%	5%	6%	3.6%	16.2	18.3	-11%	-1%	-1%
UNIVERSAL MUSIC GROUP NV	UMG NA	Telecoms	14	E	26.4	7%	-8%	11%	3.6%	14.0	24.5	-43%	-24%	-40%

Source: Datastream, MSCI, IBES, J.P. Morgan, Prices and Valuations as of COB 07th Oct, 2026. Past performance is not indicative of future returns.

Please see the most recent company-specific research published by J.P. Morgan for an analysis of valuation methodology and risks on companies recommended in this report. Research is available at http://www.jpmorganmarkets.com

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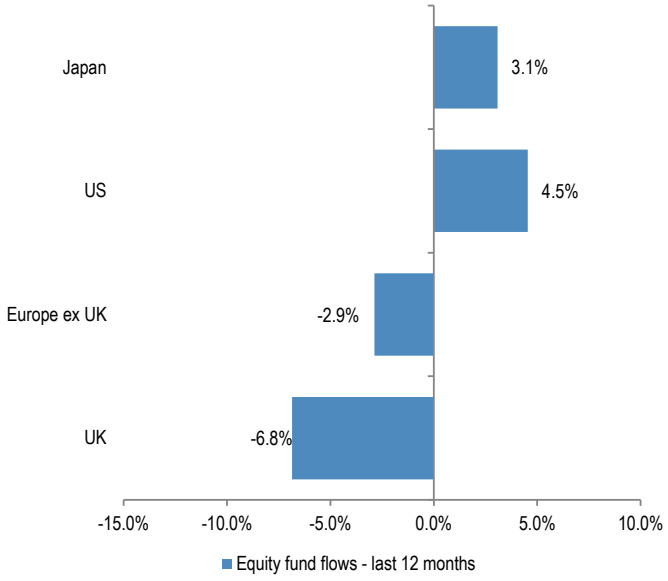
Equity Flows Snapshot

Table 22: DM Equity Fund Flows Summary

Regional equity fund flows										
	$mn					% AUM				
	1w	1m	3m	YTD	12m	1w	1m	3m	YTD	12m
Europe ex UK	-284	-86	-2,185	-13,470	-12,395	-0.1%	0.0%	-0.4%	-2.9%	-2.9%
UK	22	-1,220	-7,197	-13,107	-20,846	0.0%	-0.3%	-2.2%	-4.2%	-6.8%
US	-21,180	32,778	120,790	462,007	639,439	-0.1%	0.2%	0.7%	3.2%	4.5%
Japan	277	3,811	15,725	28,055	30,385	0.0%	0.3%	1.3%	2.8%	3.1%

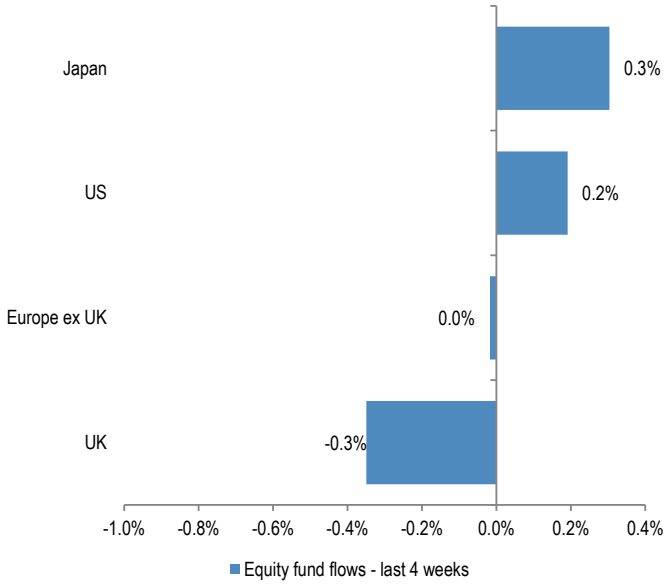
Source: EPFR, as of 23rd Sep, 2026

Figure 51: DM Equity Fund flows – last 12 months



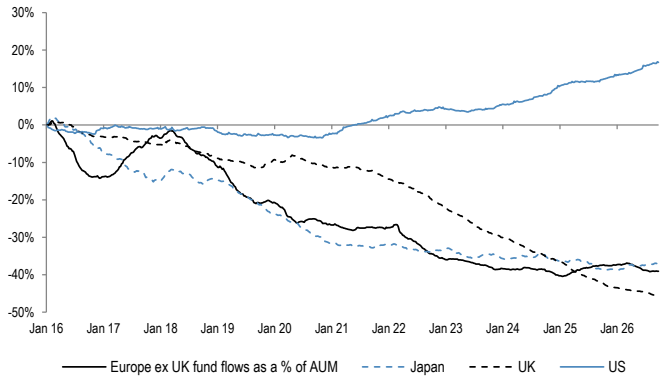
Source: EPFR, Japan includes BoJ purchases.

Figure 52: DM Equity Fund flows – last 4 weeks



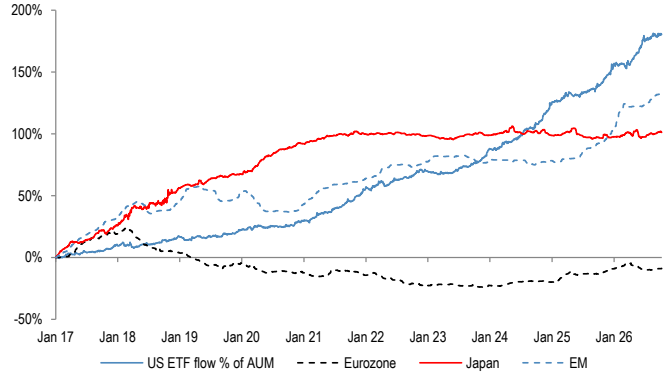
Source: EPFR, Japan includes BoJ purchases.

Figure 53: Cumulative fund flows into regional funds as a percentage of AUM



Source: EPFR, as of 23rd Sep, 2026. Japan includes Non-ETF purchases only.

Figure 54: Cumulative fund flows into regional equity ETFs as a percentage of AUM



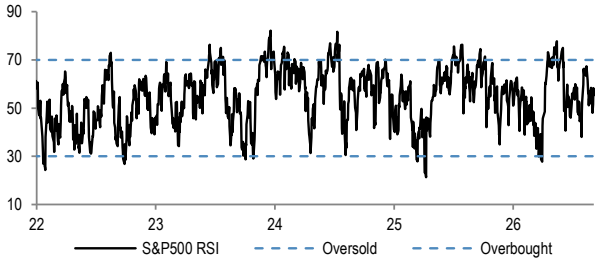
Source: Bloomberg Finance L.P. *Based on the 25 biggest ETFs with a mandate to invest in that particular region. Japan includes BoJ purchases.

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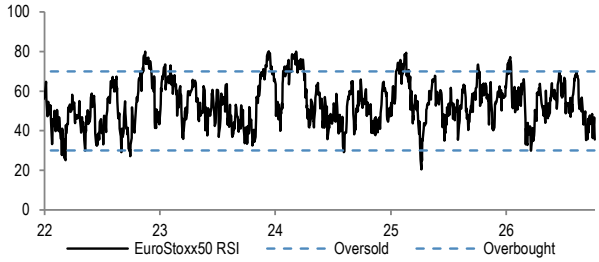
Technical Indicators

Figure 55: S&P500 RSI



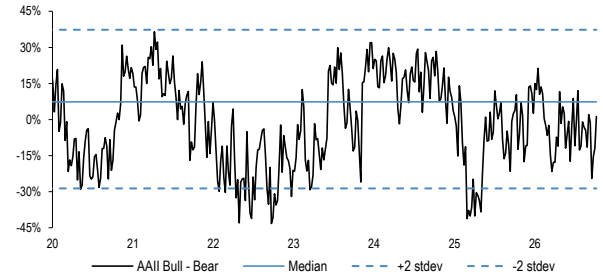
Source: Bloomberg Finance L.P.

Figure 56: EuroStoxx50 RSI



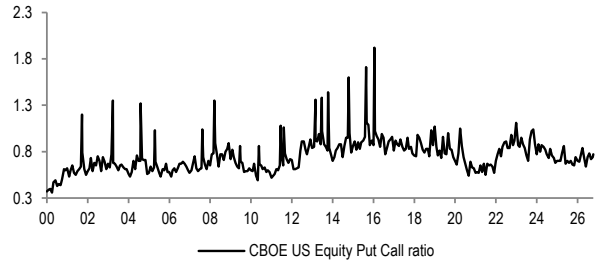
Source: Bloomberg Finance L.P.

Figure 57: AAII Bull-Bear



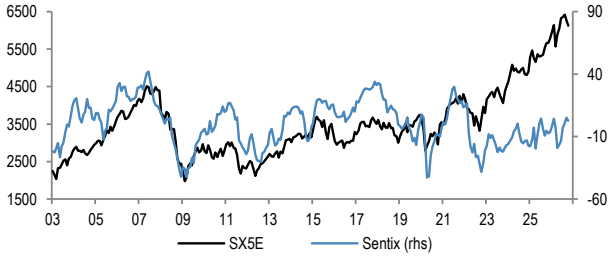
Source: Bloomberg Finance L.P

Figure 58: Put-call ratio



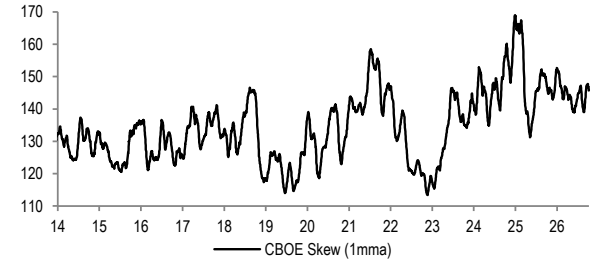
Source: Bloomberg Finance L.P.

Figure 59: Sentix Sentiment Index vs SX5E



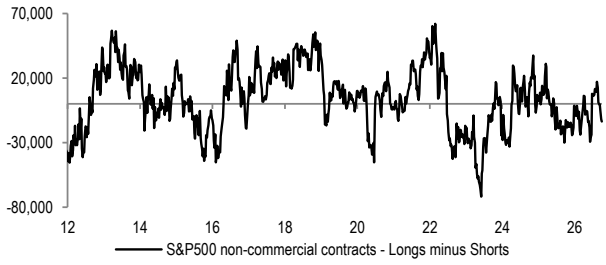
Source: Bloomberg Finance L.P.

Figure 60: Equity Skew



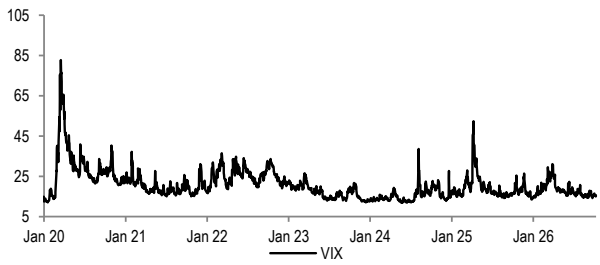
Source: Bloomberg Finance L.P.

Figure 61: Speculative positions in S&P500 futures contracts



Source: Bloomberg Finance L.P.

Figure 62: VIX



Source: Bloomberg Finance L.P.

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Performance

Table 23: Sector Index Performances — MSCI Europe

(%change)		Local currency		
Industry Group		**4week**	**12m**	**YTD**
Europe		**(1.9)**	**10.2**	**6.1**
Energy		**0.6**	**41.8**	**38.7**
Materials		**(4.8)**	**20.1**	**11.9**
	Chemicals	0.1	10.7	15.1
	Construction Materials	(10.5)	(13.1)	(25.7)
	Metals & Mining	(8.5)	44.7	22.4
Industrials		**(2.4)**	**4.9**	**4.6**
	Capital Goods	(2.7)	6.2	6.6
	Transport	(0.3)	18.8	2.3
	Business Svs	(0.5)	(19.8)	(13.6)
Consumer Discretionary		**(3.8)**	**(17.5)**	**(18.8)**
	Automobile	(7.6)	(23.4)	(21.6)
	Consumer Durables	(4.2)	(20.0)	(25.4)
	Media	(1.3)	(22.2)	(12.9)
	Retailing	(1.4)	(15.2)	(14.6)
	Hotels,Restaurants&Leisure	(1.1)	(4.9)	(0.2)
Consumer Staples		**(1.0)**	**(0.1)**	**(3.2)**
	Food & Drug Retailing	0.8	2.1	2.7
	Food Beverage & Tobacco	(1.7)	0.6	(3.6)
	Household Products	(0.2)	(2.3)	(4.4)
Healthcare		**1.3**	**0.5**	**(3.2)**
Financials		**(5.7)**	**18.0**	**7.6**
	Banks	(6.6)	30.4	13.0
	Diversified Financials	(6.7)	2.3	(0.1)
	Insurance	(2.3)	5.1	1.3
Real Estate		**(4.9)**	**8.2**	**2.4**
Information Technology		**5.6**	**41.8**	**42.6**
	Software and Services	2.8	(11.3)	(1.2)
	Technology Hardware	1.4	32.4	22.8
	Semicon & Semicon Equip	7.4	82.0	74.1
Telecommunications Services		**(2.6)**	**(8.4)**	**(3.0)**
Utilities		**0.0**	**17.8**	**8.3**

Source: MSCI, Datastream, As at COB 07th Oct, 2026

Table 24: Country and Region Index Performances

(%change)		Local Currency			US$		
Country	**Index**	**4week**	**12m**	**YTD**	**4week**	**12m**	**YTD**
Austria	ATX	(3.6)	40.6	24.1	(7.4)	34.9	18.3
Belgium	BEL 20	(3.7)	12.5	8.8	(7.4)	8.0	3.7
Denmark	KFX	(5.9)	(6.6)	(6.2)	(9.6)	(10.5)	(10.6)
Finland	HEX 20	(2.4)	23.5	10.5	(6.2)	18.5	5.3
France	CAC 40	(4.8)	(2.6)	(4.7)	(8.5)	(6.5)	(9.1)
Germany	DAX	(1.8)	2.9	2.5	(5.7)	(1.2)	(2.3)
Greece	ASE General	(2.9)	26.7	23.6	(6.7)	21.6	17.8
Ireland	ISEQ	(0.4)	22.2	9.5	(4.3)	17.2	4.4
Italy	FTSE MIB	(3.7)	16.0	11.2	(7.4)	11.3	6.0
Japan	Topix	2.7	28.7	21.9	(0.5)	23.0	20.8
Netherlands	AEX	1.4	16.3	17.5	(2.5)	11.7	12.0
Norway	OBX	(4.5)	18.2	17.6	(8.3)	23.0	24.0
Portugal	BVL GEN	(1.2)	14.1	14.3	(5.1)	9.5	8.9
Spain	IBEX 35	(2.9)	23.1	10.5	(6.7)	18.2	5.3
Sweden	OMX	(1.0)	18.5	11.9	(5.3)	11.3	3.0
Switzerland	SMI	0.0	10.3	4.1	(2.9)	5.7	(1.0)
United States	S&P 500	2.2	16.2	14.0	2.2	16.2	14.0
United States	NASDAQ	4.9	20.8	18.5	4.9	20.8	18.5
United Kingdom	FTSE 100	(2.0)	10.3	5.3	(4.5)	8.5	3.5
EMU	MSCI EMU	(2.1)	10.8	7.2	(5.9)	6.4	2.2
Europe	**MSCI Europe**	**(1.9)**	**10.2**	**6.1**	**(5.2)**	**6.3**	**1.7**
Global	MSCI AC World	1.3	15.3	12.8	0.4	14.5	11.9

Source: MSCI, Datastream, As at COB 07th Oct , 2026

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Earnings

Table 25: IBES Consensus EPS Country Forecasts

		EPS growth (%change)			
Country	Index	2025E	2026E	2027E	2028E
Austria	ATX	9.7	25.3	14.1	7.1
Belgium	BEL 20	18.3	15.3	13.7	11.9
Denmark	Denmark KFX	(1.2)	6.1	1.5	9.0
Finland	MSCI Finland	4.5	20.1	12.3	9.8
France	CAC 40	(23.1)	47.1	9.5	9.9
Germany	DAX	5.3	8.0	15.0	14.4
Greece	MSCI Greece	(6.0)	18.2	10.1	7.0
Ireland	MSCI Ireland	2.9	0.3	12.4	14.2
Italy	MSCI Italy	(38.0)	89.0	10.3	10.9
Netherlands	AEX	(20.5)	42.0	9.6	11.8
Norway	MSCI Norway	(11.1)	53.1	(7.3)	(0.5)
Portugal	MSCI Portugal	23.7	28.4	0.2	3.9
Spain	IBEX 35	5.8	14.1	12.6	9.5
Sweden	OMX	(3.3)	6.4	9.2	9.3
Switzerland	SMI	6.9	9.6	10.2	9.5
United Kingdom	FTSE 100	6.5	21.4	6.2	7.6
EMU	MSCI EMU	(4.3)	23.1	12.4	12.1
Europe ex UK	MSCI Europe ex UK	(2.5)	19.9	11.3	11.3
Europe	MSCI Europe	(0.3)	20.7	9.7	10.3
United States	S&P 500	13.8	34.2	17.2	17.2
Japan	Topix	11.5	20.8	11.0	10.6
Emerging Market	MSCI EM	10.6	74.4	23.7	10.8
Global	MSCI AC World	10.3	35.8	16.6	14.1

Source: IBES, MSCI, Datastream. As at COB 07th Oct, 2026**Japan refers to the period from March in the year stated to March in the following year— EPS post-goodwill

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Valuations

Table 26: IBES Consensus European Sector Valuations

	P/E			Dividend Yield			EV/EBITDA			Price to Book		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Europe	**15.3**	**13.9**	**12.6**	**3.1%**	**3.4%**	**3.7%**	**9.1**	**8.4**	**7.8**	**2.3**	**2.2**	**2.0**
Energy	**8.2**	**9.9**	**10.3**	**4.2%**	**4.3%**	**4.5%**	**3.5**	**3.9**	**4.0**	**1.6**	**1.5**	**1.4**
Materials	**17.0**	**15.4**	**14.5**	**2.9%**	**3.1%**	**3.2%**	**8.2**	**7.5**	**7.0**	**2.1**	**2.0**	**1.8**
Chemicals	22.2	20.9	19.0	2.6%	2.7%	2.8%	11.6	11.1	10.1	2.5	2.4	2.3
Construction Materials	14.2	12.6	11.4	2.7%	3.0%	3.2%	8.8	7.8	7.0	1.5	1.4	1.3
Metals & Mining	14.0	12.5	12.1	3.2%	3.3%	3.5%	6.5	5.9	5.6	2.1	1.9	1.8
Industrials	**22.1**	**19.4**	**17.0**	**2.1%**	**2.3%**	**2.5%**	**11.6**	**10.6**	**9.6**	**4.1**	**3.7**	**3.3**
Capital Goods	23.8	20.4	17.8	1.9%	2.1%	2.4%	13.1	11.5	10.2	4.7	4.2	3.6
Transport	14.5	15.0	13.5	3.2%	2.9%	3.0%	7.1	7.6	7.5	2.0	1.9	1.8
Business Svs	16.8	15.2	13.8	3.0%	3.3%	3.5%	11.2	10.3	9.4	5.5	5.2	4.8
Discretionary	**15.8**	**13.1**	**11.3**	**2.7%**	**3.1%**	**3.5%**	**7.7**	**5.8**	**5.2**	**1.9**	**1.7**	**1.6**
Automobile	9.8	7.4	6.1	3.8%	4.7%	5.5%	1.8	1.5	1.5	0.6	0.6	0.5
Consumer Durables	20.9	18.4	16.3	2.5%	2.7%	2.9%	13.5	10.4	9.6	3.4	3.1	2.9
Media & Entertainment	21.0	18.2	15.9	1.6%	1.7%	1.8%	14.0	12.3	9.9	4.8	4.2	3.8
Retailing	14.9	13.0	11.4	2.5%	2.7%	3.0%	20.7	14.1	11.7	5.2	3.1	2.7
Hotels,Restaurants&Leisure	20.4	17.8	15.6	2.4%	2.6%	2.9%	11.6	10.4	9.3	5.7	5.2	4.6
Staples	**15.7**	**14.7**	**13.6**	**3.4%**	**3.6%**	**3.8%**	**10.4**	**9.6**	**9.1**	**2.9**	**2.7**	**2.6**
Food & Drug Retailing	12.7	11.7	10.8	3.8%	4.0%	4.4%	6.4	6.0	5.6	1.9	1.8	1.7
Food Beverage & Tobacco	15.4	14.4	13.3	3.7%	3.8%	4.1%	10.5	9.9	9.2	2.6	2.5	2.4
Household Products	18.2	17.0	16.0	2.8%	2.9%	3.1%	12.7	11.4	11.0	4.3	3.9	3.6
Healthcare	**15.5**	**14.3**	**12.9**	**2.5%**	**2.7%**	**2.9%**	**11.9**	**10.7**	**9.6**	**3.3**	**3.0**	**2.7**
Financials	**11.7**	**10.4**	**9.4**	**4.3%**	**4.8%**	**5.3%**	**-**	**-**	**-**	**1.7**	**1.6**	**1.5**
Banks	11.3	9.9	**8.9**	4.6%	5.1%	5.7%	**-**	**-**	**-**	1.5	1.5	1.4
Diversified Financials	12.8	11.2	9.7	2.8%	3.1%	3.3%	**-**	**-**	**-**	1.6	1.5	1.4
Insurance	12.2	11.4	10.6	4.9%	5.3%	5.7%	**-**	**-**	**-**	2.1	1.9	1.8
Real Estate	**12.4**	**12.8**	**12.4**	**5.2%**	**5.4%**	**5.6%**	**-**	**-**	**-**	**0.7**	**0.7**	**0.7**
IT	**32.1**	**24.8**	**20.2**	**1.0%**	**1.1%**	**1.3%**	**19.5**	**14.6**	**11.4**	**6.4**	**5.7**	**5.0**
Software and Services	26.2	23.1	20.4	1.3%	1.5%	1.6%	15.2	11.6	8.9	4.1	3.9	3.5
Technology Hardware	22.6	20.2	17.9	1.8%	1.9%	2.0%	12.1	10.6	9.6	3.1	2.9	2.7
Semicon & Semicon Equip	37.7	26.6	20.5	0.6%	0.8%	1.0%	25.4	17.9	13.9	11.4	9.3	7.4
Communication Services	**15.6**	**13.9**	**12.5**	**3.5%**	**3.8%**	**4.1%**	**6.4**	**6.1**	**5.7**	**2.1**	**2.1**	**2.0**
Utilities	**14.9**	**13.9**	**13.0**	**4.1%**	**4.4%**	**4.6%**	**9.7**	**9.3**	**9.1**	**2.0**	**1.9**	**1.8**

Source: IBES, MSCI, Datastream. As at COB 07th Oct, 2026.

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Table 27: IBES Consensus P/E and 12-Month Forward Dividend Yields — Country Forecasts

		P/E				Dividend Yield
Country	Index	12mth Fwd	2026E	2027E	2028E	12mth Fwd
Austria	ATX	10.8	11.9	10.5	9.8	3.9%
Denmark	Denmark KFX	13.9	14.1	13.9	12.7	3.0%
Finland	MSCI Finland	18.1	20.0	17.8	16.2	3.1%
France	CAC 40	12.7	13.7	12.5	11.4	3.5%
Germany	DAX	14.3	16.2	14.1	12.3	3.0%
Greece	MSCI Greece	17.8	19.3	17.5	16.4	2.9%
Ireland	MSCI Ireland	13.1	14.4	12.8	11.2	3.2%
Italy	MSCI Italy	11.7	12.7	11.5	10.4	4.7%
Netherlands	AEX	15.8	17.0	15.5	13.9	2.2%
Norway	MSCI Norway	11.6	10.9	11.8	11.8	5.1%
Portugal	MSCI Portugal	13.8	13.8	13.7	13.2	3.7%
Spain	IBEX 35	13.0	14.4	12.8	11.7	3.8%
Sweden	OMX	16.9	18.1	16.6	15.2	3.2%
Switzerland	SMI	16.3	17.7	16.1	14.7	3.1%
United Kingdom	FTSE 100	11.9	12.4	11.7	10.9	3.5%
EMU	MSCI EMU	14.0	15.5	13.8	12.3	3.2%
Europe ex UK	MSCI Europe ex UK	14.6	16.0	14.3	12.9	3.2%
Europe	**MSCI Europe**	**13.8**	14.9	13.6	12.4	**3.3%**
United States	S&P 500	19.2	22.2	19.0	16.2	1.2%
Japan	Topix	15.6	16.6	14.9	13.5	2.2%
Emerging Market	MSCI EM	9.6	11.5	9.4	8.3	2.8%
Global	MSCI AC World	16.1	18.4	16.0	13.9	1.8%

Source: IBES, MSCI, Datastream. As at COB 07th Oct, 2026; **Japan refers to the period from March in the year stated to March in the following year-P/E post goodwill.

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Economic, Interest Rate and Exchange Rate Outlook

Table 28: Economic Outlook in Summary

	Real GDP % oya			Real GDP						Consumer prices % oya			
	2025	2026E	2027E	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	2Q26	4Q26	2Q27	4Q27
United States	2.3	2.4	2.2	2.5	2.2	3.5	1.7	2.3	2.3	3.8	3.9	2.2	1.7
Eurozone	1.3	1.0	1.5	-0.1	2.6	1.3	1.5	1.5	1.5	3.0	3.8	2.7	1.7
United Kingdom	1.2	1.5	1.4	2.6	2.1	2.0	1.0	1.6	1.2	2.8	3.4	3.7	2.3
Japan	1.2	0.9	1.0	1.9	1.4	0.5	1.3	1.0	1.2	1.5	2.5	2.1	1.3
Emerging markets	4.3	4.1	3.9	4.9	3.2	3.4	4.4	4.0	3.9	3.5	3.4	2.9	2.9
Global	2.8	2.7	2.7	2.9	2.7	2.8	2.7	2.8	2.7	3.4	3.6	2.6	2.2

Source: J.P. Morgan Economic Research estimates, as of 07th Oct, 2026

Table 29: Official Rates Outlook

					Forecast for			
	Official interest rate	Current	Last change (bp)	Forecast next change (bp)	Dec 26	Mar 27	Jun 27	Sep 27
United States	Federal funds rate	4.00	16 Sep 26 (+25bp)	Dec 26 (+25bp)	4.25	4.25	4.25	4.25
Eurozone	Depo rate	2.50	10 Sep 26 (+25bp)	Dec 26 (+25bp)	2.75	3.00	3.00	3.00
United Kingdom	Bank Rate	3.75	18 Dec 25 (-25bp)	Nov 26 (+25bp)	4.00	4.25	4.25	4.25
Japan	Pol rate IOER	1.25	18 Sep 26 (+25bp)	Dec 26 (+25bp)	1.50	1.50	1.75	2.00

Source: J.P. Morgan estimates, Datastream, as of 07th Oct, 2026

Table 30: 10-Year Government Bond Yield Forecasts

10 Yr Govt BY		Forecast for end of			
	8-Oct-26	Dec 26	Mar 27	Jun 27	Sep 27
US	5.32	5.05	5.10	5.05	5.00
Euro Area	3.50	3.15	3.10	3.00	2.95
United Kingdom	5.44	5.10	4.95	4.75	4.65
Japan	3.09	3.05	3.05	3.15	3.20

Source: J.P. Morgan estimates, Datastream, forecasts as of 02nd Oct, 2026

Table 31: FX forecasts

Exchange rates vs US$		Forecast for end of			
	8-Oct-26	Dec 26	Mar 27	Jun 27	Sep 27
EUR	1.12	1.13	1.12	1.10	1.10
GBP	1.32	1.28	1.29	1.28	1.28
CHF	0.83	0.84	0.85	0.86	0.86
JPY	158	164	164	164	164
DXY	102.2	102.5	103.0	104.3	104.3

Source: J.P. Morgan estimates, Datastream, forecasts as of 02nd Oct, 2026

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Sector, Regional and Asset Class Allocations

Table 32: J.P. Morgan Equity Strategy — European Sector Allocation

		MSCI Europe Weights	Allocation	Deviation	Recommendation
Energy		**5.4%**	3.0%	-2.4%	**UW**
Materials		**5.4%**	8.0%	2.6%	**OW**
	Chemicals				N
	Construction Materials				OW
	Metals & Mining				OW
Industrials		**18.6%**	21.0%	2.4%	**OW**
	Capital Goods				OW
	Transport				N
	Business Services				N
Consumer Discretionary		**4.7%**	8.0%	3.3%	**OW**
	Automobile				N
	Consumer Durables				OW
	Consumer Srvcs				N
	Speciality Retail				N
	Internet Retail				N
Consumer Staples		**8.2%**	6.0%	-2.2%	**UW**
	Food & Drug Retailing				UW
	Beverages				UW
	Food & Tobacco				UW
	Household Products				UW
Healthcare		**12.7%**	12.0%	-0.7%	**N**
Financials		**25.5%**	25.0%	-0.5%	**N**
	Banks				N
	Insurance				UW
Real Estate		**0.5%**	1.0%	0.5%	**N**
Information Technology		**9.7%**	8.0%	-1.7%	**N**
	Software and Services				UW
	Technology Hardware				N
	Semicon & Semicon Equip				OW
Communication Services		**4.4%**	4.0%	-0.4%	**N**
	Telecommunication Services				N
	Media				UW
Utilities		**4.8%**	4.0%	-0.8%	**N**
		100.0%	**100.0%**	**0.0%**	**Balanced**

Source: MSCI, Datastream, J.P. Morgan.

Table 33: J.P. Morgan Equity Strategy — Global Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
EM	12.1%	14.0%	1.9%	Overweight
DM	87.9%	86.0%	-1.9%	Underweight
US	73.1%	73.0%	-0.1%	Neutral
Japan	5.8%	6.0%	0.2%	Neutral
Eurozone	8.7%	11.0%	2.3%	Overweight
UK	3.6%	3.0%	-0.6%	Neutral
Others*	8.7%	7.0%	-1.7%	Underweight
	100.0%	**100.0%**	**0.0%**	**Balanced**

Source: MSCI, J.P. Morgan *Other includes Denmark, Switzerland, Australia, Canada, Hong Kong SAR, Sweden, Singapore, New Zealand, Israel and Norway

Table 34: J.P. Morgan Equity Strategy — European Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
Eurozone	54.5%	58.0%	3.5%	Overweight
United Kingdom	22.5%	21.0%	-1.5%	Neutral
Others**	22.9%	21.0%	-1.9%	Underweight
	100.0%			**Balanced**

Source: MSCI, J.P. Morgan **Other includes Denmark, Switzerland, Sweden and Norway

Table 35: J.P. Morgan Equity Strategy — Asset Class Allocation

	Benchmark weighting	Allocation	Deviation	Recommendation
Equities	60%	65%	5%	Overweight
Bonds	30%	30%	0%	Neutral
Cash	10%	5%	-5%	Underweight
	100%	**100%**	0%	**Balanced**

Source: MSCI, J.P. Morgan

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Companies Discussed in This Report (all prices in this report as of market close on 09 October 2026, unless otherwise indicated)
Akzo Nobel(AKZO.AS/€57.82/OW), Alstom(ALSO.PA/€15.60/OW), Anheuser Busch InBev(ABI.BR/€68.66/OW), Arkema(AKE.PA/€55.00/UW), Auto Trader(AUTOA.L/489p/UW), BASF SE(BASFn.DE/€51.54/UW), Brenntag SE(BNRGn.DE/€62.10/UW), Brunello Cucinelli(BCU.MI/€80.56/OW), CTS Eventim(EVDG.DE/€58.75/OW), Carrefour(CARR.PA/€15.98/UW), Clariant(CLN.S/CHF10.26/OW), Coca-Cola Hellenic Bottling Company(CCH.L/4,282p/N), Croda(CRDA.L/3,390p/OW), DSM-Firmenich(DSFIR.AS/€100.10/UW), Danone(DANO.PA/€58.70/OW), Dassault Systèmes(DAST.PA/€21.75/N), Demant A/S(DEMANT.CO/Dkr341.20/OW), Deutsche Bank(DBKGn.DE/€30.06/OW), ENI(ENI.MI/€25.21/OW), Epiroc(EPIRa.ST/Skr266.00/OW), Essity(ESSITYB.ST/Skr264.00/UW), Evonik(EVKn.DE/€21.34/UW), Fresenius SE(FREG.DE/€42.42/OW), Fuchs(FPEG_p.de/€38.10/OW), Galp Energia(GALP.LS/€22.51/OW), Givaudan(GIVN.S/CHF3,448.00/OW), Haleon(HLN.L/349p/UW), Heineken(HEIN.AS/€70.98/N), IMCD(IMCD.AS/€100.70/UW), ING(INGA.AS/€29.74/OW), JCDecaux(JCDX.PA/€24.60/OW), Jeronimo Martins(JMT.LS/€17.13/OW), Kerry Group(KYGa.I/€87.85/OW), Koninklijke Ahold Delhaize NV(AD.AS/€32.37/UW), Legrand(LEGD.PA/€138.90/OW), Lindt & Sprüngli (LISN)(LISN.S/CHF81,800.00/UW), Moncler(MONC.MI/€43.52/OW), Natwest Group(NWG.L/643p/OW), Nestle(NESN.S/CHF75.78/N), Novonesis(NSISB.CO/Dkr435.10/OW), OMV(OMVV.VI/€72.10/UW), Pernod-Ricard SA(PERP.PA/€61.60/N), Puig Brands(PUIGb.MC/€18.19/N), Richemont(CFR.S/CHF170.50/OW), Sage(SGE.L/1,072p/OW), Siemens Energy(ENR1n.DE/€145.08/OW), Solvay(SOLB.BR/€24.98/OW), Standard Chartered(STAN.L/2,119p/OW), Syensqo(SYENS.BR/€79.70/OW), The Magnum Ice Cream Company(MICCT.AS/€15.36/N), TotalEnergies(TTEF.PA/€78.53/N), UBS(UBSG.S/CHF39.82/OW), Umicore(UMI.BR/€20.98/OW), Unilever NV(ULVR.AS/€55.32/OW), Unilever plc(ULVR.L/4,674p/OW), Vestas(VWS.CO/Dkr189.70/OW), Wacker Chemie(WCHG.DE/€88.70/UW), Weir Group(WEIR.L/2,642p/OW), Yara(YAR.OL/Nkr413.60/UW), YouGov(YOU.L/271p/OW), Zegna Group(ZGN/$12.68/OW)

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